

Module 7

Emerging and Controversial Issues in International Financial Reporting

Learning Objectives

By the end of this module you should understand:

1. The difficulties involved in accounting for an acquisition and how goodwill arises
2. How goodwill differs from intangible assets and how both are accounted for
3. What impairment means and how to account for it
4. How share options are accounted for and their impact on bottom-line profits
5. How corporate pension obligations are making an impact of both profit and balance sheets
6. The basic principles of financial instruments and how these are captured in corporate financial statements
7. The difference between provisions and contingencies and when companies should account for them
8. Why new topics such as management commentaries and corporate financial reporting are currently under development in the field of financial reporting.

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7.2 Business Combinations and Goodwill

7.3 Intangible Assets and their Impairment

7.4 Share-based Payments

7.5 Pension Benefits

7.6 Financial Instruments

7.7 Provisions, Contingent Liabilities and Contingent Assets

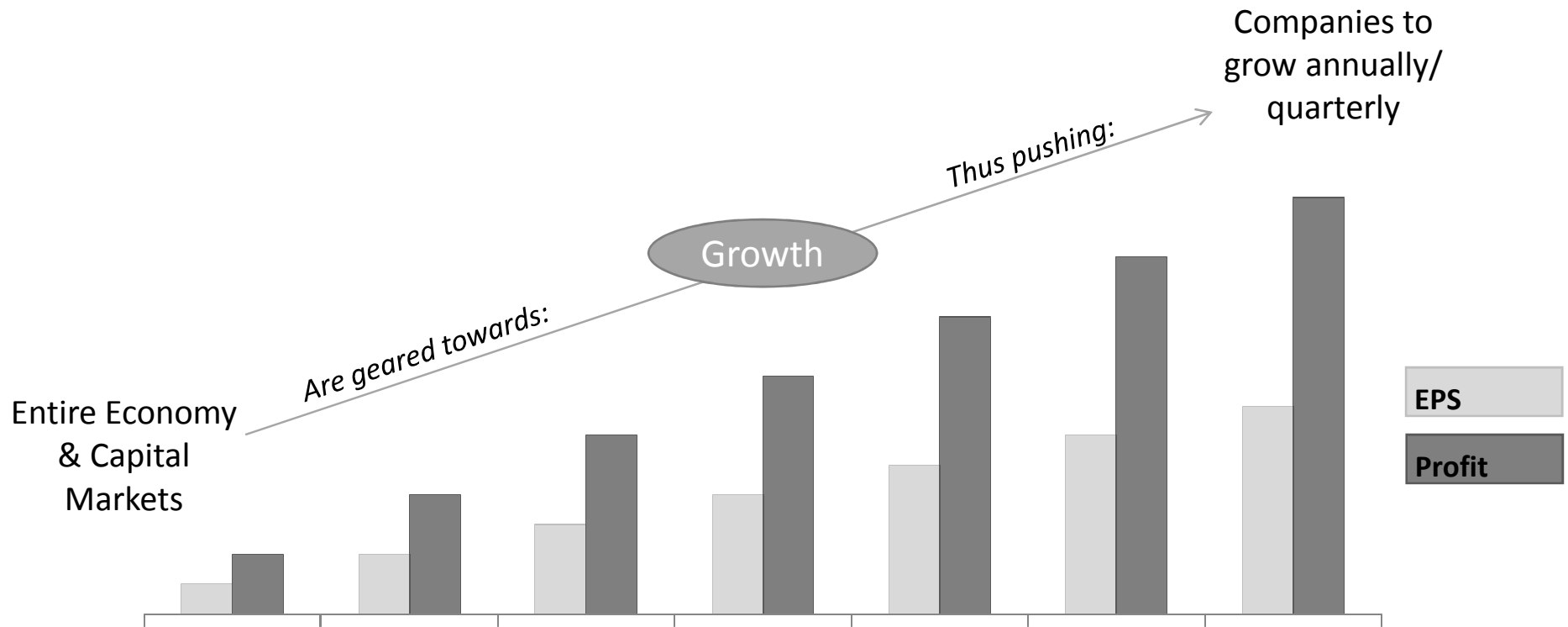
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To discuss the controversial issues that attract news headlines, we must first understand the pressure under which the modern company director is operating



Neither type of growth is easy to achieve

It is difficult for managers to steer their companies towards more and more growth, thus driving them towards adopting the short-termism phenomenon

Difficulties Facing Managers

*Uncertainties of
the market
conditions*

*Vagaries of
consumer
preference*

*Actions of
competitors*

Create a turbulence



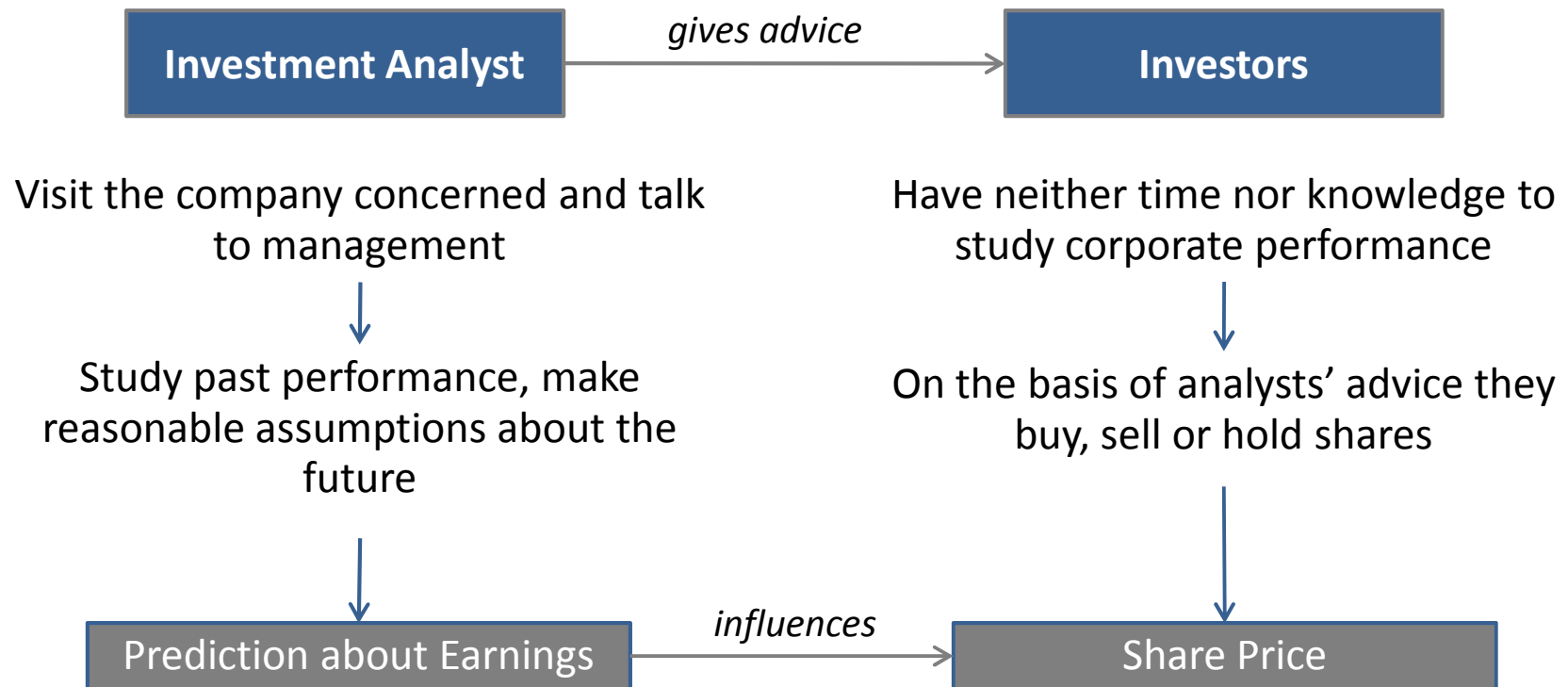
That create:

Temptations for management to adopt the set of generally accepted accounting principles which give the appearance of an upward trend in performance

This pressure on profits or earnings per share is a phenomenon referred to as short-termism

The investment analyst community is accused of being responsible for this outlook

Relation Between Investment Analyst and Investors



On the other hand management stands by and watches the company's share price being 'talked up' by the analyst community in advance of published accounts



The following sections of this module gives readers a flavor of some of the more controversial issues being addressed by the IASB

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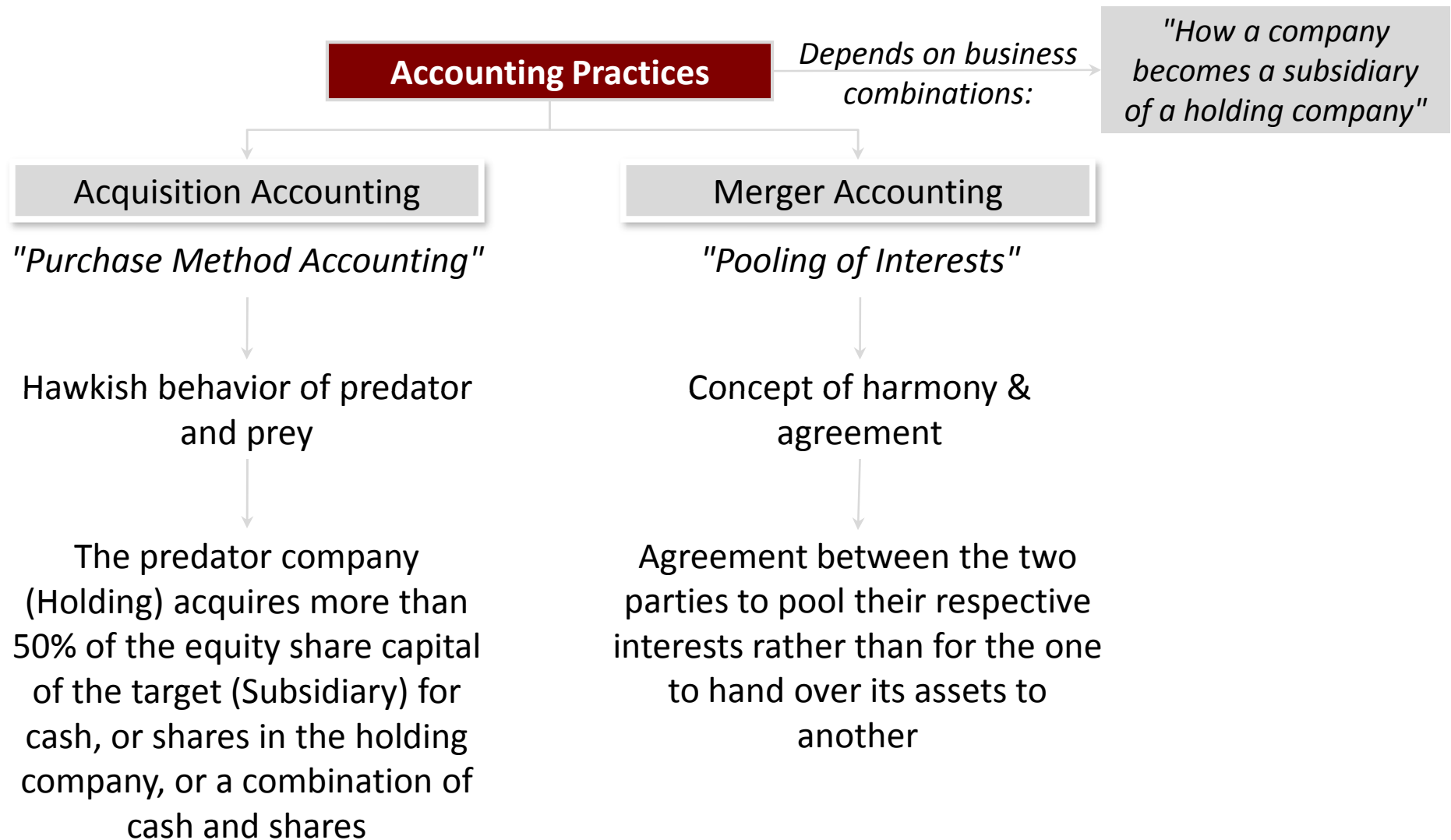
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There are 2 types of accounting practices concerning group accounts, choosing between them depends on the terms of the business combination



We now introduce an example of a takeover using acquisition accounting

Example

Forth Ltd offers to acquire the entire share capital of Clyde Ltd. The terms are: one Forth share worth €5 for each of Clyde's one million ordinary shares. The offer therefore values Clyde at €5 million. Clyde has net assets shown in its balance sheet of €4 million. Before the offer, which was accepted by all shareholders in Clyde, the summarized balance sheets of the two companies are as follows:

	Forth Ltd €m	Clyde Ltd €m
Net assets	<u>6</u>	<u>4</u>
Represented by:		
Share capital (€1 ordinary)	1	1
Distributable reserves	<u>5</u>	<u>3</u>
	<u>6</u>	<u>4</u>

We use the same mechanics as in module 5

Acquisition accounting would produce a balance sheet for Forth Group Ltd as follows:

*Difference between
€5 m paid by Forth
& €4 m Clyde's
assets in B/S*

Net assets
Goodwill

Represented by:
Share capital (€1 ordinary)
Share premium
Distributable reserves

*The distributable
reserves of the
group are those of
the holding
company, Forth*

Forth Group Ltd

€m
10
1
11
2
4
5
11

*Share capital is doubled
due to the share issue to
Clyde's shareholders*

*Difference between
acquisition value €5 m
and the €1 m ordinary
shares issued by Forth*

Now let's consider the same transaction using merger accounting

The combined balance sheet would read:

Net assets
Represented by:
Share capital (€1 ordinary)
Distributable reserves

Forth-Clyde Group

€m
10
2
8
10

Comprises €1m original plus €1m newly issued

Distributable reserves of the 2 companies are added together

Neither goodwill nor share premium appears on the balance sheet

Accounting statements in merger accounting restates both companies' accounts as if the two companies had always been one

The managerial issues are clear when the two balance sheets, acquisition & merger, are compared, thus leading to merger accounting being favored over acquisition

Feature in Both Accounting Practices Worthy of Managerial Attention

Acquisition Accounting

Goodwill arises on B/S



Goodwill should not be carried as an asset on the balance sheet beyond its perceived useful life



Writing off goodwill systematically has a negative impact on profits and/or reserves

Merger Accounting

Combined nature of distributable reserves



Management would have access to considerably more free reserves than under acquisition accounting

Merger accounting gives the management of the group more flexibility than acquisition accounting

IFRS 3 Business Combinations has outlawed merger or pooling of interests accounting and requires managers to adopt acquisition accounting

Reason

Too many acquisitions were being structured under the former standard in such a way as to permit pooling even though the combination was clearly a takeover of one company by another; the amount actually paid by the acquirer was conveniently obscured from view

IFRS 3

All business combinations should be accounted for by applying

"Purchase method"

requires the acquirer to:

Recognize the acquiree's assets, liabilities and contingent liabilities at their ***fair values*** at the acquisition date

Recognize goodwill (the amount paid over the ***fair value*** of the net assets acquired)

The purchase method requires identifiable assets to be recognized at their fair value at the acquisition date

Fair value

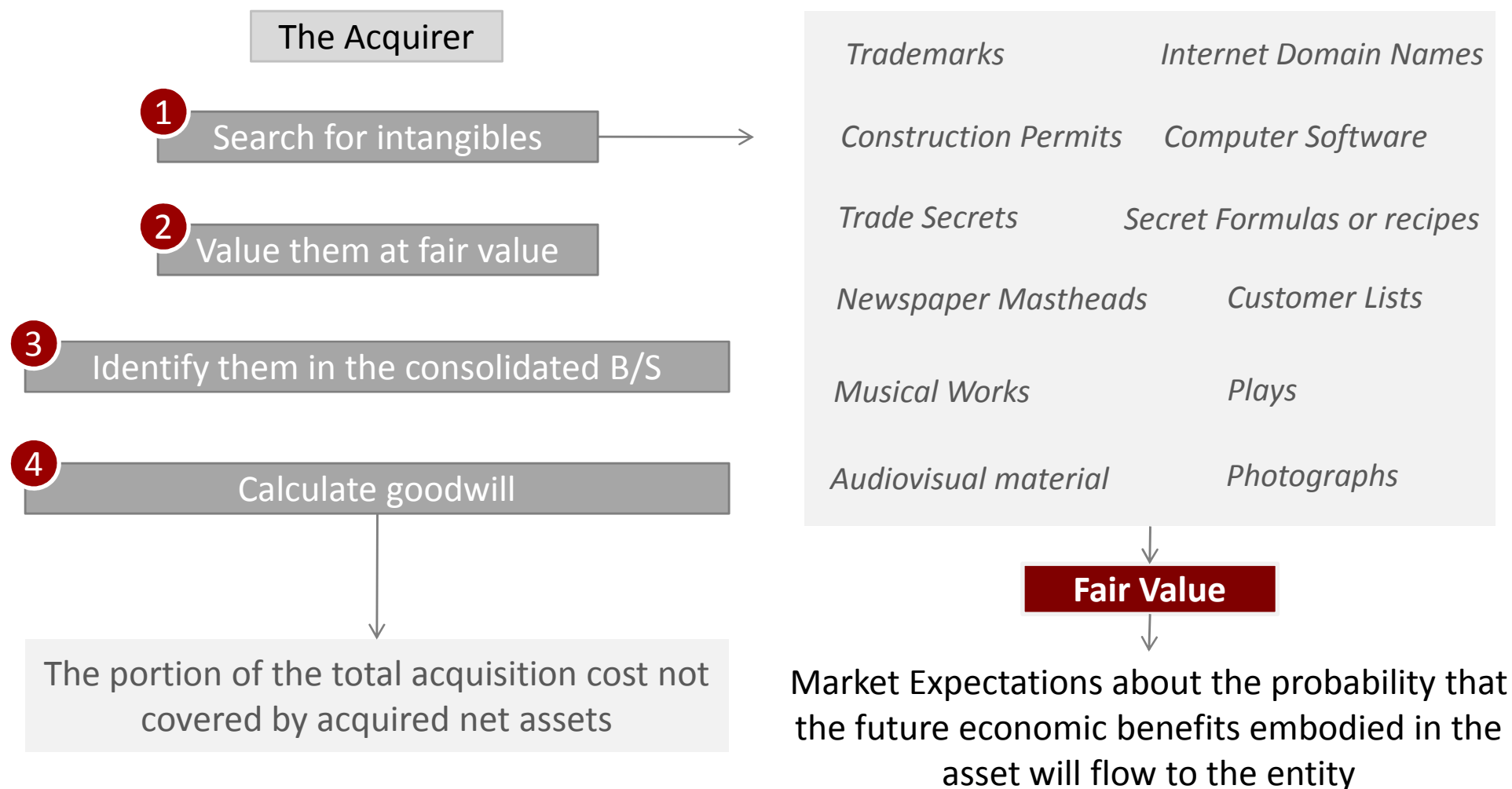
The amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction

$$\begin{array}{|c|} \hline \text{Positive} \\ \text{and/or} \\ \text{Negative} \\ \hline \text{Goodwill} \\ \hline \end{array} = \begin{array}{|c|} \hline \text{Acquirer's interest} \\ \text{in fair value of} \\ \text{identifiable asset/} \\ \text{liability} \\ \hline \end{array} - \begin{array}{|c|} \hline \text{The cost of the} \\ \text{business} \\ \text{combination} \\ \hline \end{array}$$

Example

- **Fair value of finished goods inventory:**
Selling prices less the costs of disposal and a reasonable profit margin
- **Fair value of work-in-progress inventory:**
Selling prices of finished goods less the sum of the costs to complete and a reasonable profit margin
- **Fair value of Raw materials inventory:**
Current replacement cost

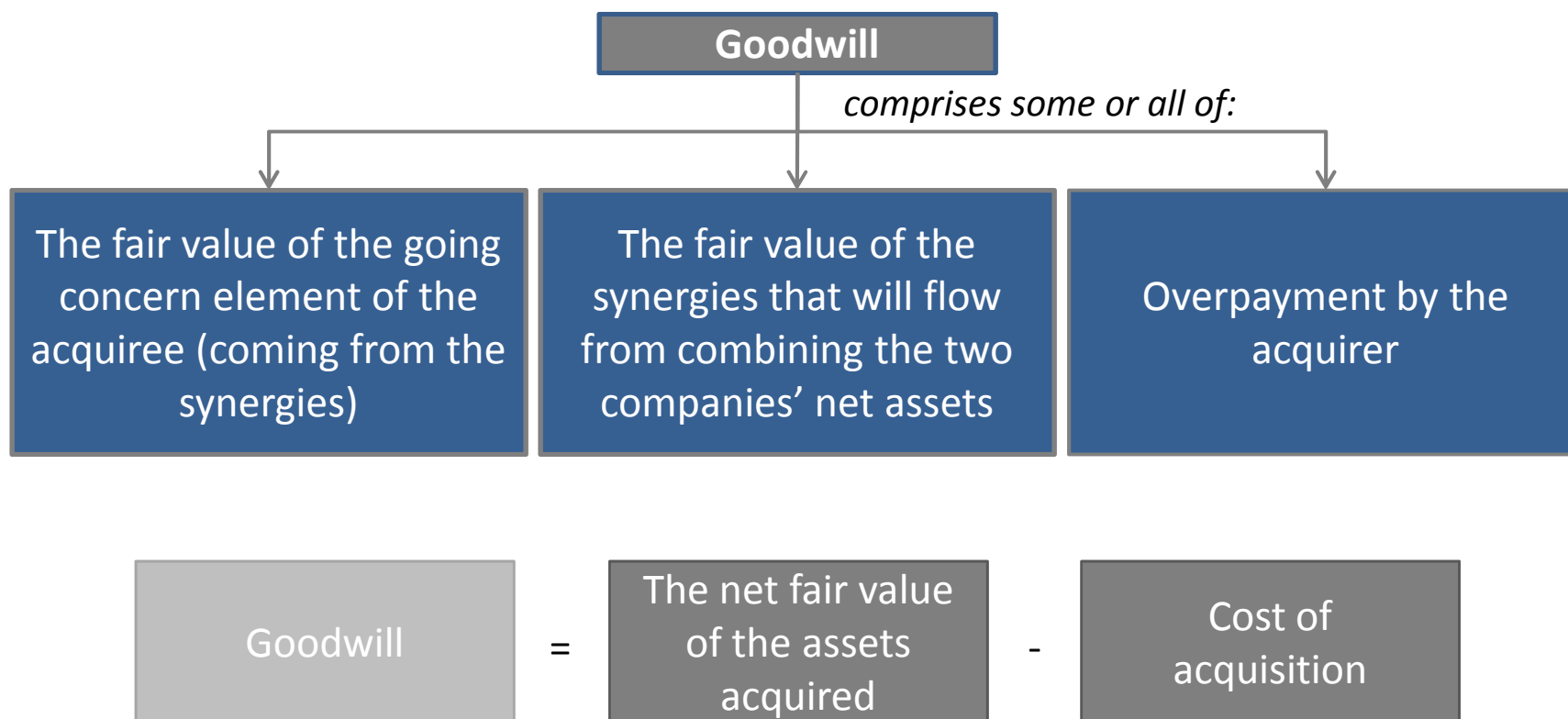
Intangible assets give rise to a lot of difficulties in implementing IFRS 3 as they need to be recognized separately from goodwill



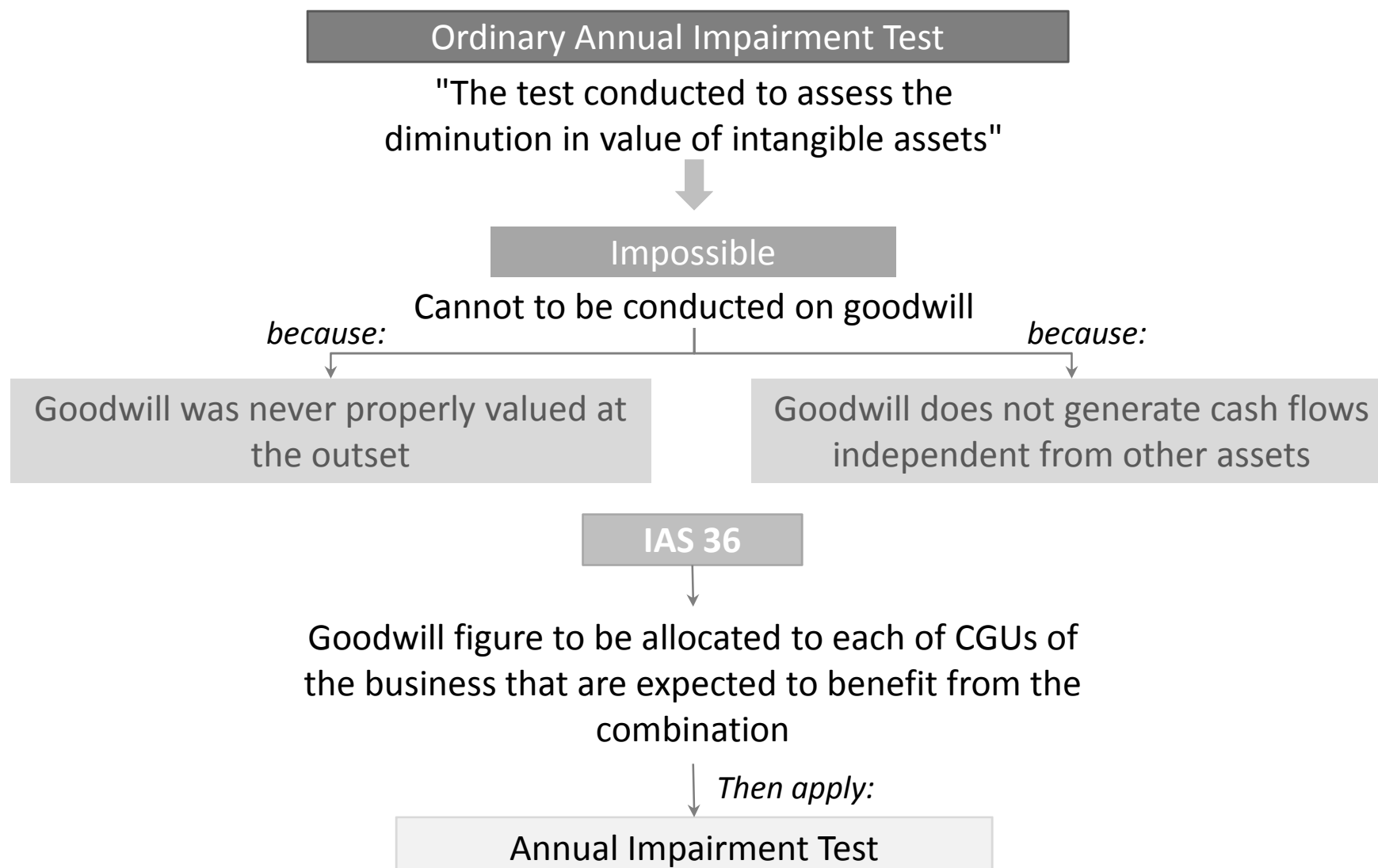
Moving on to goodwill, IFRS 3 defines it as the value of future economic benefits derived from non-identifiable assets

Definition of Goodwill by IFRS 3

Future economic benefits arising from assets that are not capable of being individually identified and separately recognized



The impairment test cannot be carried out on goodwill unless the goodwill figure is allocated to each of the cash-generating units (CGUs) of the business



Each CGU's carrying amount should be compared to its recoverable amount

Carrying Amount

The net asset figure
in the balance sheet

Recoverable Amount

The higher of its fair
value less costs to sell
and its **value in use**

*The present value of
future cash flows
expected to be derived
from the CGU*

If:

Carrying Amount

>

Recoverable Amount

Then:

An impairment has taken place

Charge should be taken to the P/L account

We will learn more about impairment through the following example

Company A buys Company B for €2,000 at the beginning of 20x2. B's identifiable net assets have a fair value of €1,500. In drawing up its consolidated balance sheet at the end of 20x2, Company A calculates CGU B's recoverable amount to be €1,750. An impairment loss of €250 is to be recorded. The carrying value of goodwill must receive the first charge until it is written down to zero. The impairment calculation would be as follows:

	Goodwill	Identifiable net assets	Total
	€	€	€
Carrying amount	500	1500	2000
Impairment loss	250		250
Recoverable amount (and next period's carrying value)	250		1750

Example (Continued)

If the recoverable amount of CGU B had fallen to, say, €1,400, the goodwill would be reduced to zero and the balance of the impairment, namely €100 would reduce the identifiable net assets to €1,400.

	Goodwill	Identifiable net assets	Total
	€	€	€
Carrying amount	500	1500	2000
Impairment loss	500	100	600
Recoverable amount (and next period's carrying value)	–	1400	1400

After the application of IFRS 3, there is no need to charge an impairment expense against profits in the profit and loss account annually

Prior to IFRS 3

Companies were obliged to amortize goodwill over a pre-determined period of years

↓
therefore:

Have a negative impact of reported profits

After IFRS 3

No guarantee that an impairment will have taken place

↓
therefore:

No charge will be made to P/L account

But on the other hand, the impairment test is to be carried out annually

A company does not necessarily pay more than the identifiable assets are worth; it can pay less and get the company 'on the cheap'

Consider the situation where the Highland Company pays €1,500,000 for a 70% stake in Lowland Company's equity.

The pre-acquisition balance sheets are as follows:

	Highland	Lowland
	€000	€000
Identifiable assets	16 400	4 000
Investment in Lowland	1 500	
	17 900	4 000
Equity	12 000	2 400
Identifiable liabilities	5 900	1 600
	17 900	4 000

Highland, as part of the acquisition process, valued Lowland's identifiable assets and liabilities on a fair value basis

We must first calculate the gain on sale Highland has made then we'll draw up the abridged consolidated balance sheet:

- The assets were valued at €5,600,000
- The liabilities at €1,600,000
- The net value of €4,000,000

Fair value of Lowland's net assets
Minority interest
Fair value of net acquisition
Cost of acquisition
Gain

Highland
€000
4 000
1 200
2 800
1 500
1 300

Minority
€000
720
480
1 200

On acquisition the minority stake in Lowland was 30% of Lowland's equity of €2,400 which equals €720

30% of the difference between fair value €4,000 and Lowland's equity €2,400, which equals $30\% \times €1,600$

Would be first credited to the P/L account and then it would be brought forward as part of retained profits for the year

That's how Highland's balance sheet will look like at the end of the year

The abridged consolidated balance sheet is as follows:

	Highland Group
	€000
Assets	22 000
Shareholders' equity	13 300
Minority interest	1 200
Liabilities	7 500
	<u>22 000</u>

Notes to the consolidated balance sheet

Assets = Highland's €16 400 000 + Lowland's (at fair value) €5 600 000

Shareholders' equity =

Highland's €12 000 000 + Highland's gain on purchase €1 300 000

Minority interest = calculated above

Liabilities = Highland's €5 900 000 + Lowland's (at fair value) €1 600 000

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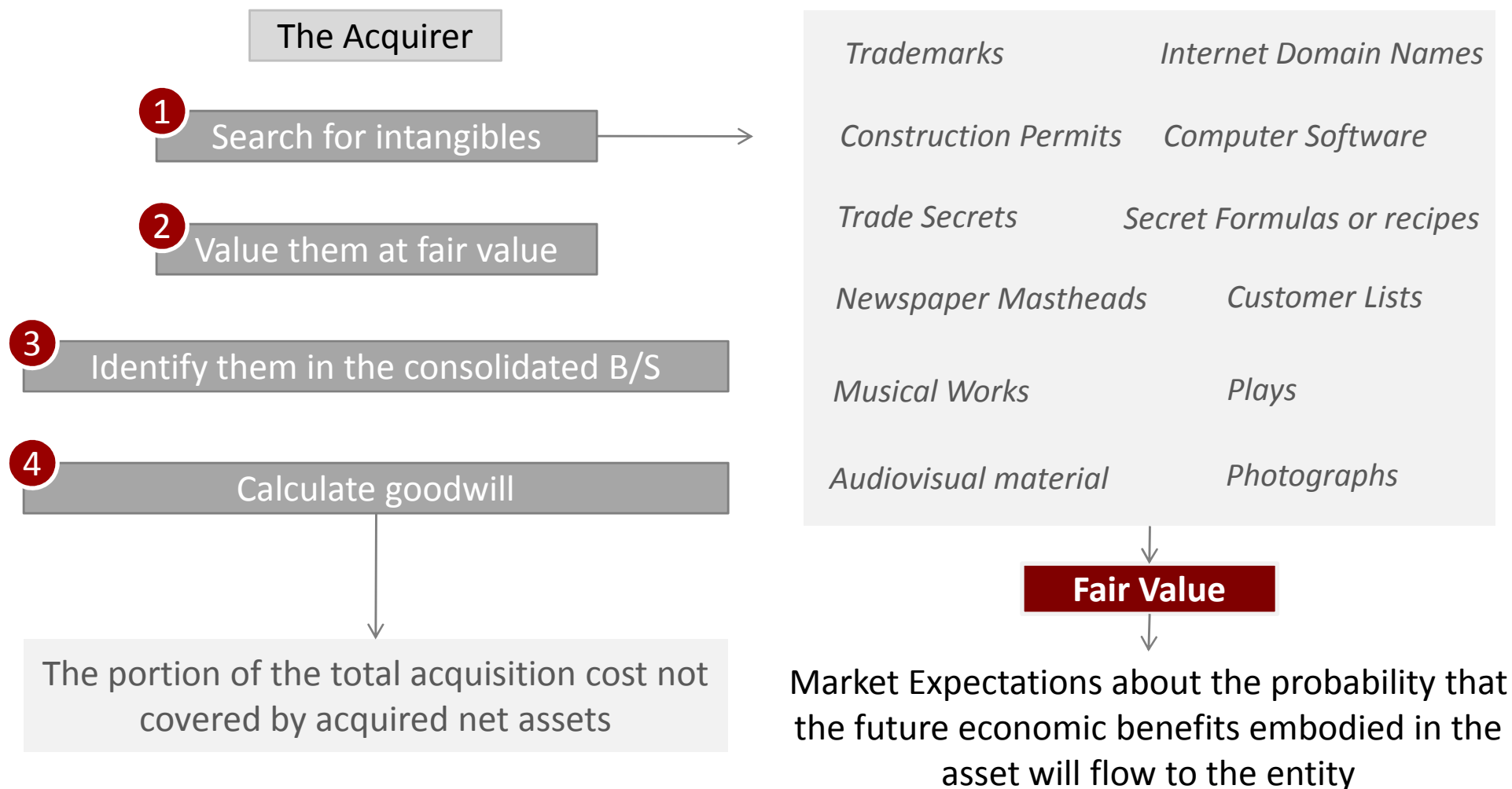
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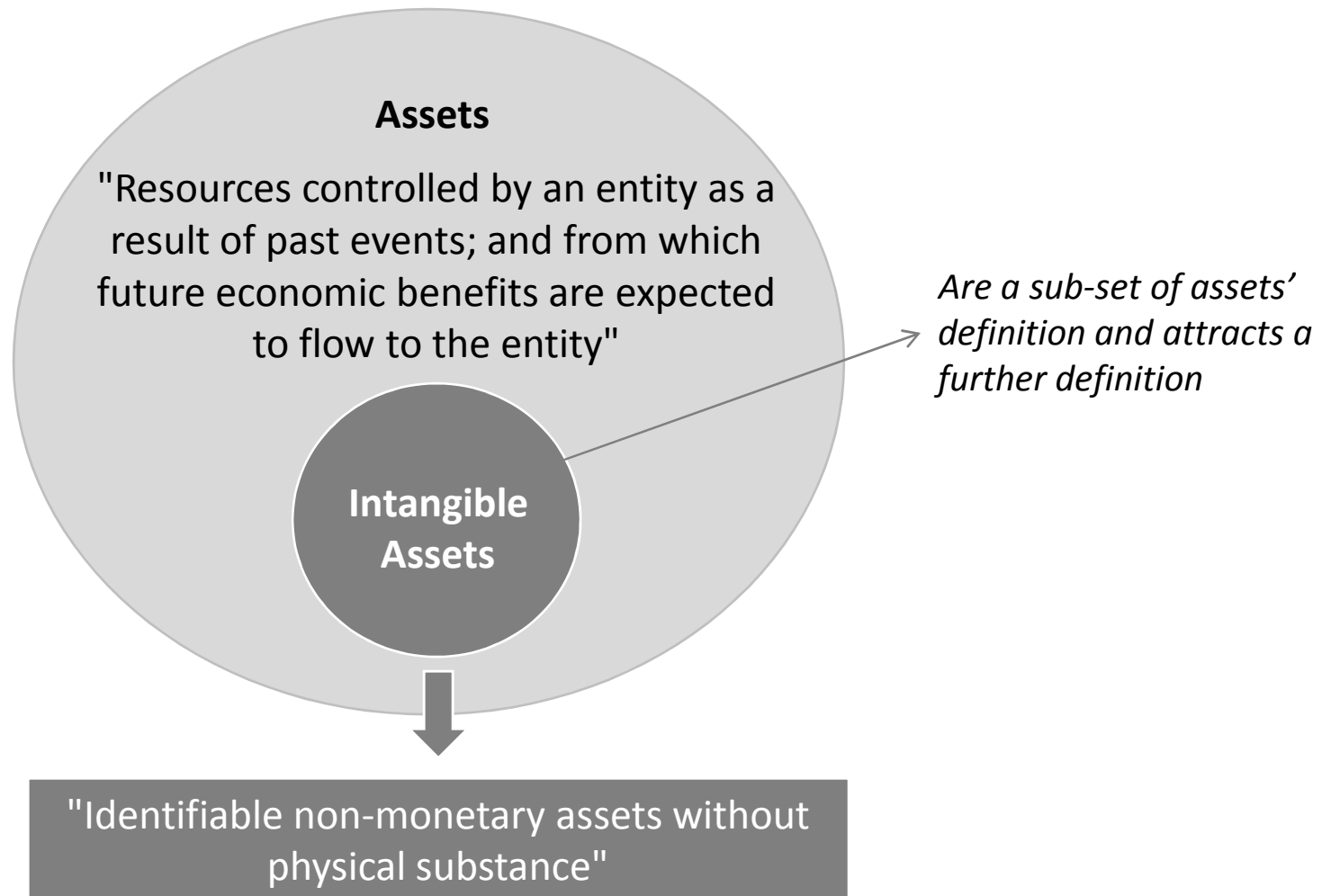
Case Studies

In section 7.2 we have learnt what an acquirer does when he takes a majority stake in another company



In this section we'll expand the notion of intangible assets to those generated during day-to-day operations & consider how loss of value in these assets is accounted for

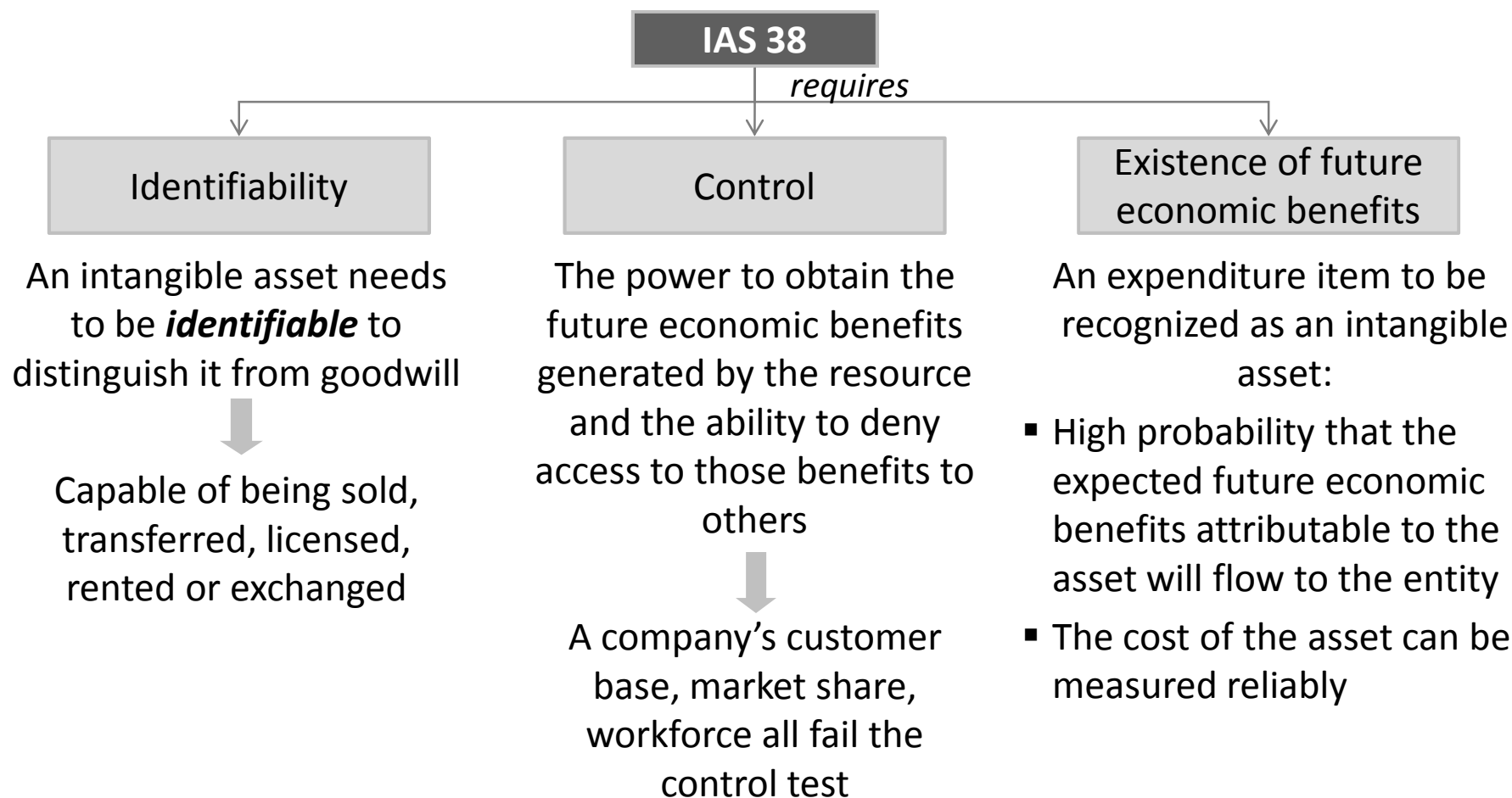
Definition of Assets and Intangible Assets by IAS 38 Intangible Assets



IAS 38 Intangible assets sets out the ground rules for what is an intangible asset

Question Asked by Managers:

“Are we building our intangible asset base which should be recorded as assets or are we engaged in routine expenditure which should be written off to the P/L account?”

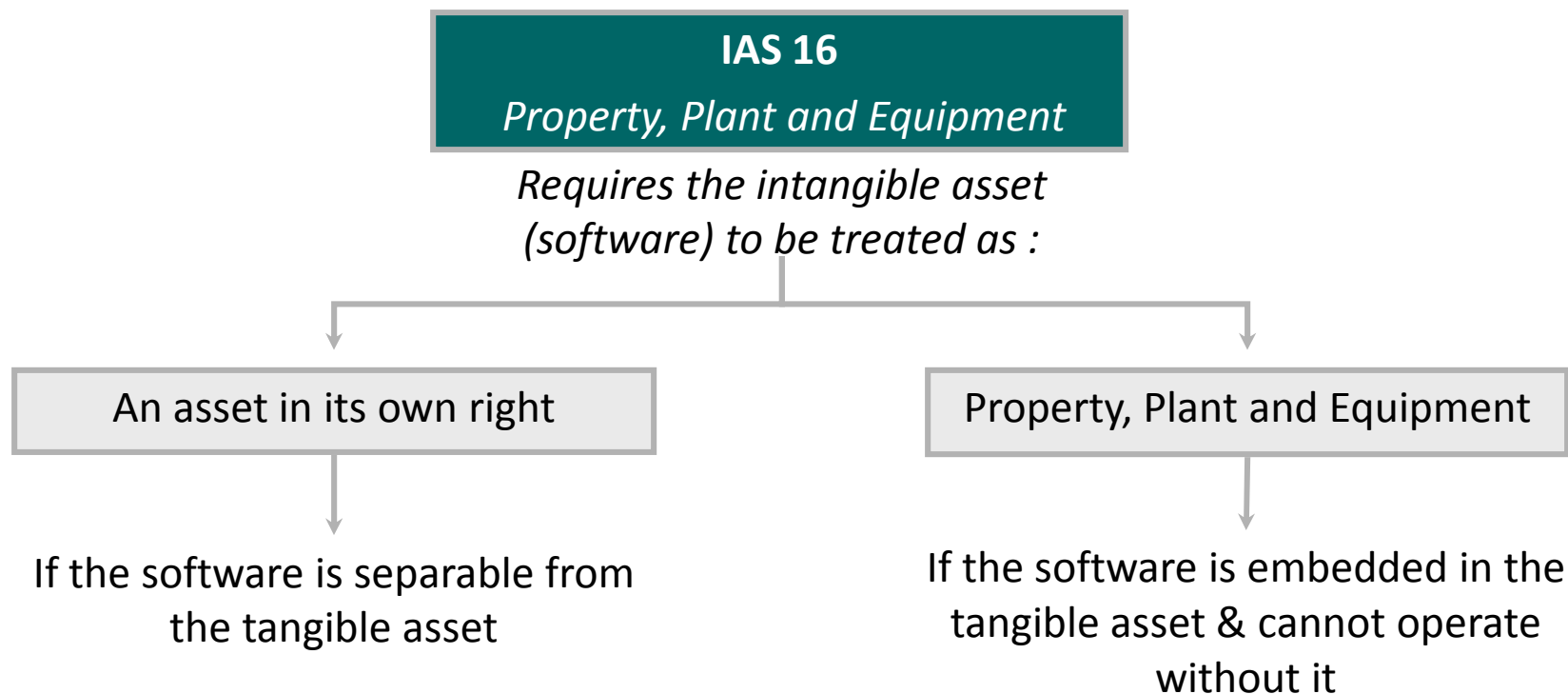


IAS 38 requires an enterprise to recognize an intangible asset, whether purchased or self-created (at cost), if and only if 2 conditions are satisfied

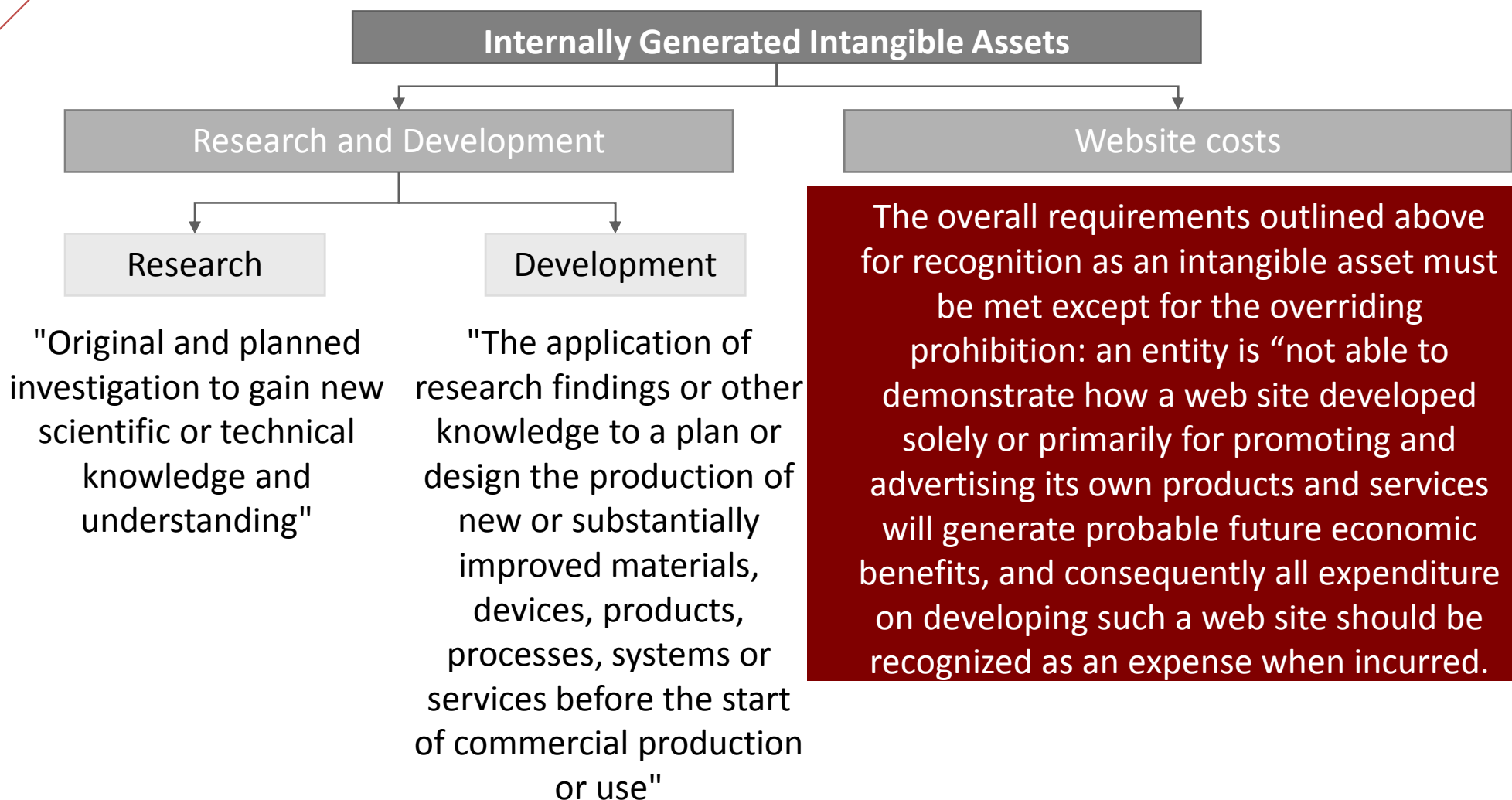
Recognition criteria

- 1** It is probable that the future economic benefits that are attributable to the asset will flow to the enterprise
- 2** The cost of the asset can be measured reliably

Intangible assets that are used to operate tangible assets like software applications are ruled by *IAS 16 Property, Plant and Equipment*



We have already covered acquisition of intangible assets through business combinations; in this section we will address acquisition through internal generation



1. Research and development

The standard gives lots of examples for both activities

Research Expenditure

- Activities aimed at obtaining new knowledge
- The search for, evaluation and final selection of, applications of research findings or other knowledge
- The search for alternatives for material, devices, products, processes, systems or services
- The formulation, design, evaluation and final selection of possible alternatives for new or improved materials, devices, products, processes, systems or services

Development expenditure

- The design, construction and testing of pre-production or pre-use prototypes and models
- The design of tools, jigs, moulds and dies involving new technologies
- The design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production
- The design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems and services

Research expenditure should be written off directly, development expenditure should be recognized only if some conditions are fulfilled

Research Expenditure

Must be written off to the P/L account



The company cannot demonstrate that an intangible asset exists that will generate probable economic benefits

Development expenditure

Should be recognized as an internally generated intangible asset, only if the company can demonstrate the following:



- The technical feasibility of completing the asset to be available for sale
- Its intention and ability to complete, use and/or sell the asset
- How the asset will generate probable future economic benefits
- The availability of adequate resources to complete the development and to use or sell the asset
- Its ability to measure reliably the expenditure attributable to the asset during its development.

This example shows that not all research and development expenditure should be capitalized as an intangible asset

A consumer household goods company with an excellent record of innovation has developed and marketed a voice-activated vacuum cleaner. Its profile of expenditure was as follows:

1. Research phase: understanding the transferability of the engineering principles from manually operated models; gaining knowledge of the microelectronics embedded in speech recognition. Cost €5 million from 1 January 20x1 to 31 December 20x3.

2. Development phase: writing the software to control the product; embedding translation capabilities in to the software to cater for four of the world's most used languages; develop and test prototypes in several countries. Cost €12 million from 1 July 20x3 to 31 December 20x4.

3. Production phase: after launch on 1 January 20x5 updating the product to address customer feedback, to manage the data coming back from the market and to train its field service engineers. Cost €3 million from 1 January 20x5, and ongoing.

How much of this expenditure can be capitalized as an intangible asset?

Solution

1 The initial €5 million spent on research → Written off in the two years' P/L accounts that it was incurred

2 IAS 38 forbids a company from capitalizing expenditure in the development phase which overlaps the research phase because the 2 activities cannot properly be distinguished

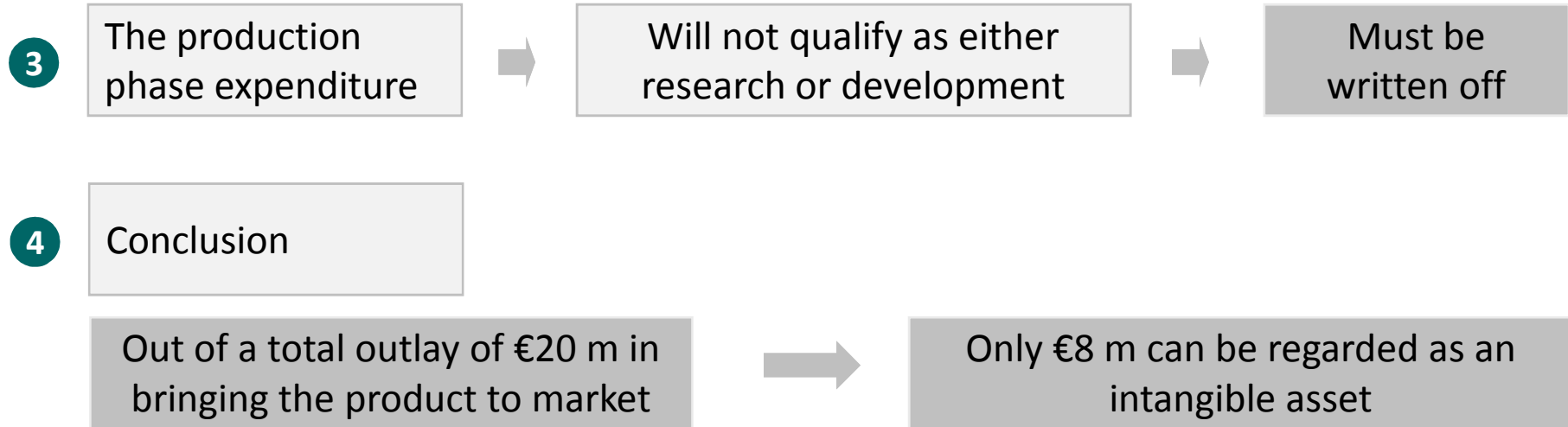
The amount of development expenditure which overlaps with the research phase is treated as part of research and written off as incurred

Assuming the full €12 million qualifies for capitalizing as an intangible asset

Assuming that the vacuum cleaner producer spends the amounts indicated above evenly throughout the years involved →

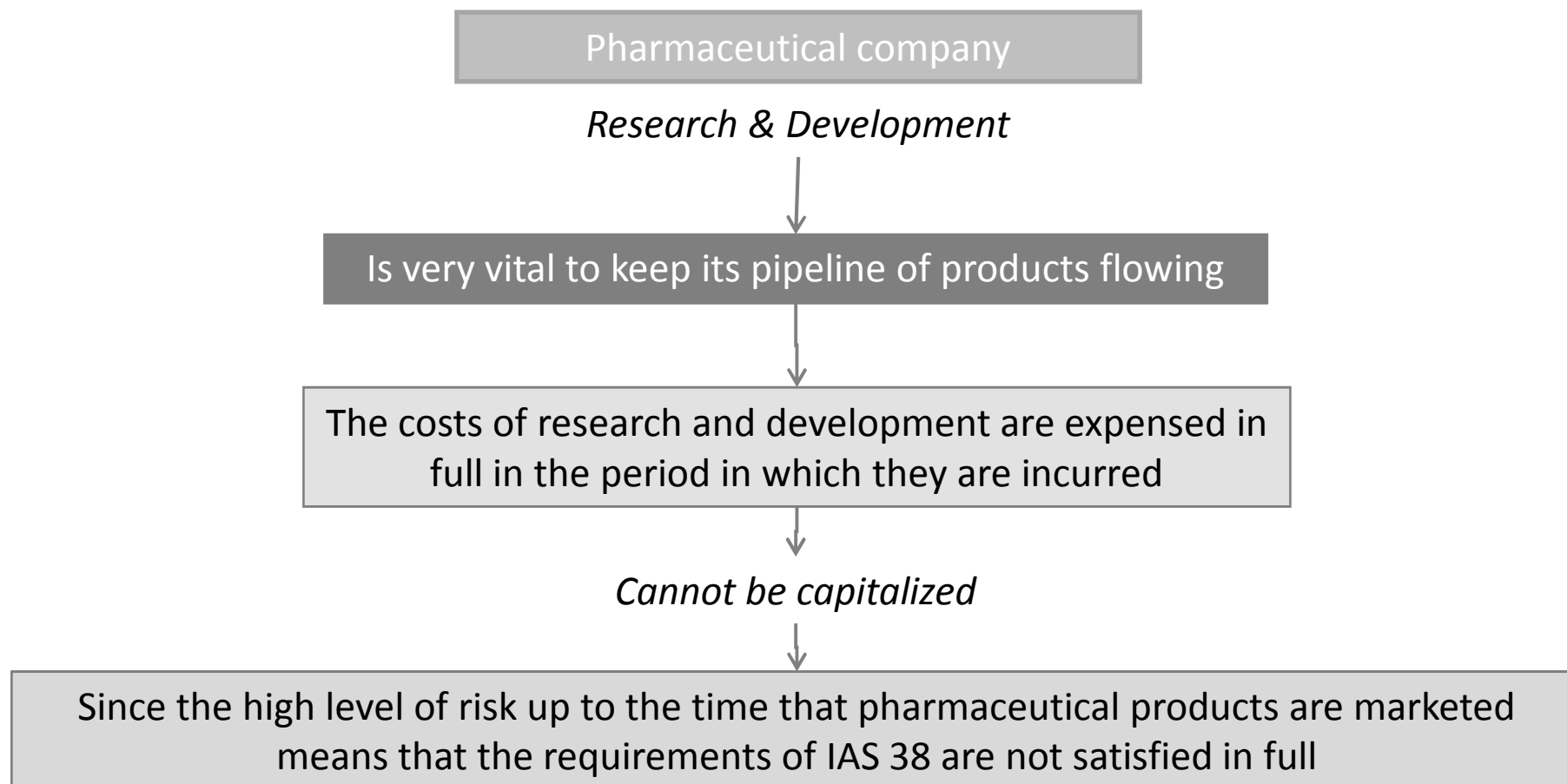
- Write-off €4 million of development expenditure in the year to 31 December 20x3
- Capitalize the following €8 million in the year to 31 December 20x4

Solution (Continued)



From here we can see that managers might have an interest in capitalizing expenditures rather than writing them off against profits

On the other hand, we have to consider certain industries like pharmaceuticals where R&D costs should not be capitalized



External auditors should review management's choice for capitalizing certain development expenditure and weigh up its suitability, or else qualify the report

Auditors are not obliged to maintain one view, they can decide that previously capitalized expenditure needs to be written off in this year

Example

A software company spent the following amounts of R&D, some of which were capitalized with the approval of its auditors:

	Yr 1	2	3	4
	€m	€m	€m	€m
R&D spent	2	3	4	5
Of which the following sums were capitalised:	1	2	2	

Example (Continued)

In Year 4 the auditors learned that some of the technical difficulties in Project XYZ which had bedevilled the company in Year 3 remained unresolved and that the senior project programmer had resigned to join a competitor. In addition profits had dipped, reflecting market disappointment at the non-appearance of Product XYZ. The auditors insisted on a write-off of all R&D in Year 4 together with the deferred amount in the balance sheet since they doubted that it has the potential to generate 'future economic benefits'.

The profit and loss accounts for the years would read:

	Yr 1	2	3	4	Total
	€m	€m	€m	€m	€m
Profits before R&D	6	7	8	7	28
R&D write-off	1	1	2	10	14
Profits after R&D	<u>5</u>	<u>6</u>	<u>6</u>	<u>(3)</u>	<u>14</u>

Example (Continued)

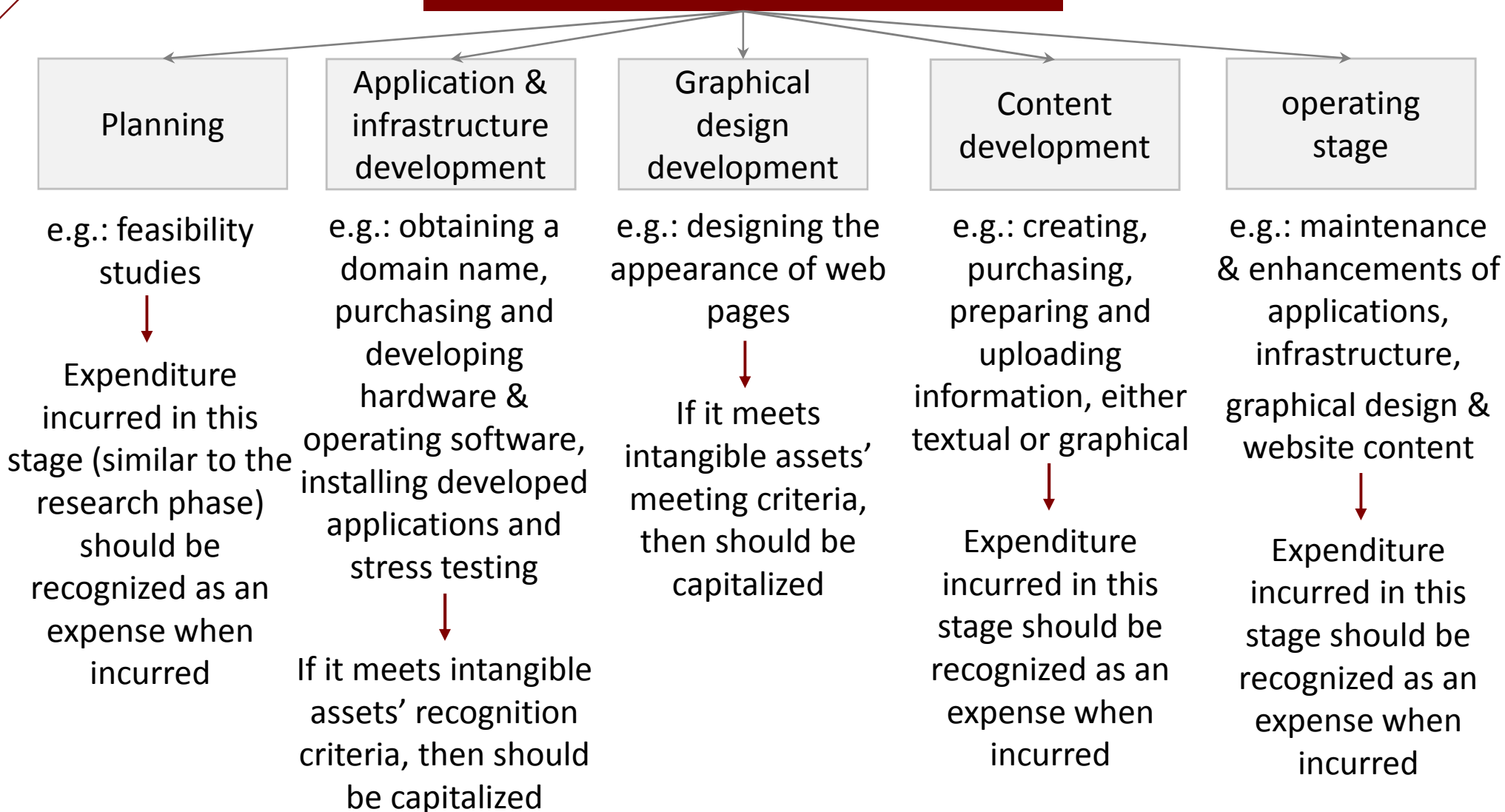
The alternative profit and loss accounts based on full annual write-off would have been:

Profits before R&D	6	7	8	7	28
R&D	2	3	4	5	14
Profits after R&D	<u>4</u>	<u>4</u>	<u>4</u>	<u>2</u>	<u>14</u>

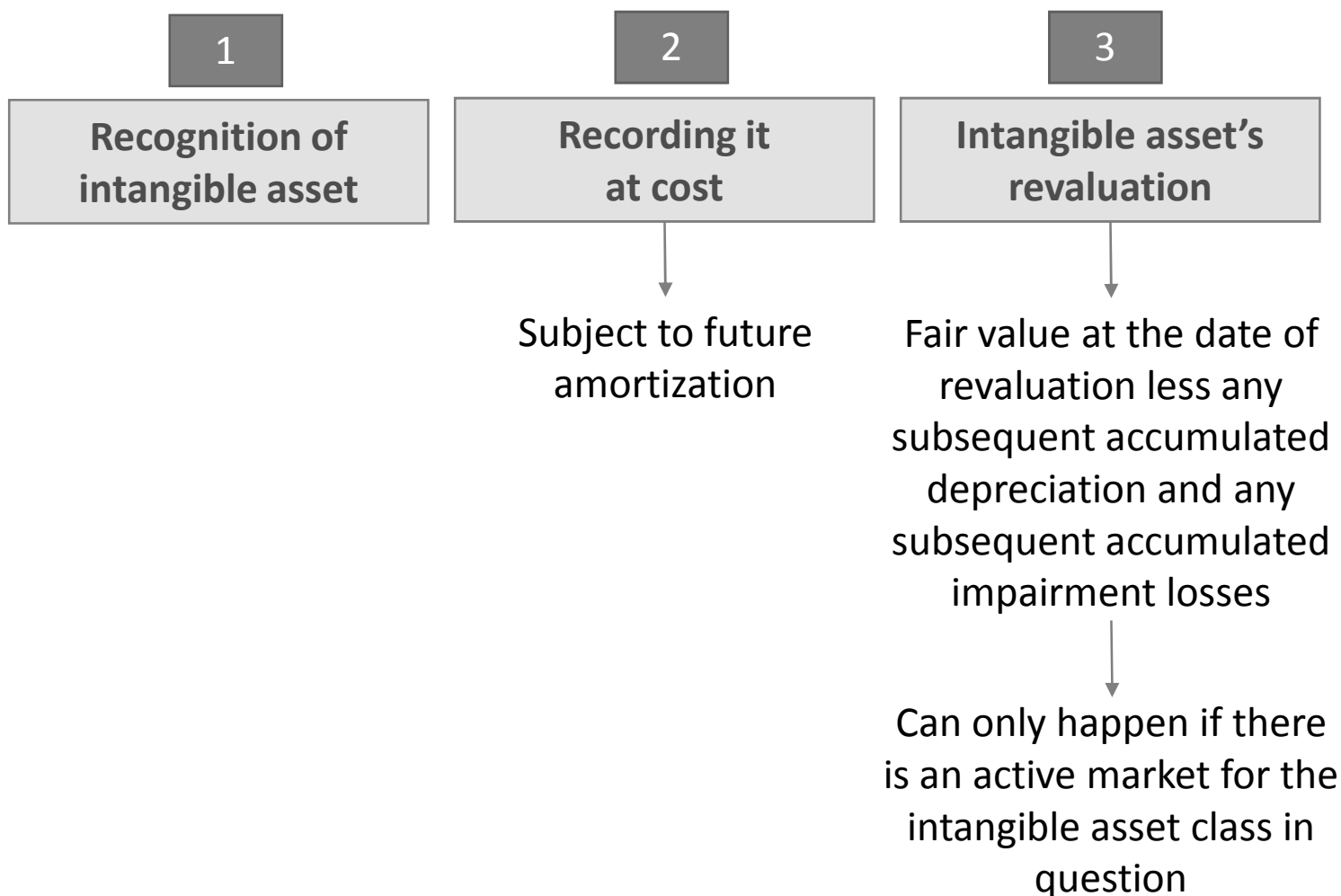
In retrospect the management of this company would probably regret adopting the policy of capitalization because of the substantial loss created by the policy in Year 4

2. Website costs, we must analyze the 5 stages of a website's development to see if an intangible asset can be recognized and measured

Five Stages of Website Development



So far, we've covered the recognition of intangible assets, we'll now move on to amortization and subsequent revaluation



Amortization of intangible assets differs according to the life of the asset

If The Intangible Asset is:

With a finite useful life

Should be amortized over
their useful life



Using any method of depreciation deemed
appropriate by management

With an infinite useful life

May not be amortized



Instead such an asset must be subject to an
annual impairment test by comparing its
recoverable amount with its carrying
amount on an annual basis or sooner if
there is evidence of impairment

Revaluation leads to either an increase or a decrease in the carrying value of the intangible asset

Increases in carrying value

Should be taken directly to shareholders' equity



Into a special account called "revaluation reserve"

Decreases in carrying value

Should be charged to profit and loss account

These two different treatments are attributed to prudence that is shareholders get the bad news directly (profit) whereas the good news about gains (revaluation reserve) is more subtle and less accessible

Let's consider an example of an intangible asset that fluctuates in fair value over four years subsequent to the year of its acquisition

	€
20x1 Acquisition cost	100
20x2 Revaluation	120
20x3 Revaluation	90
20x4 Revaluation	80
20x5 Revaluation	130

The table below shows how the company should account for the upward and downward revaluations

Decline in value of €30 is first applied against the revaluation reserve in the B/S before taking the balance as a charge in the P/L account

	Value of asset €	Cumulative revaluation reserve €	Revaluation recognised in equity €	Revaluation recognised in profit and loss €
20x1	100	–	–	–
20x2	120	20	20	–
20x3	90	–	(20)	(10)
20x4	80	–	–	(10)
20x5	130	30	30	20

Decline in value of €10 is charged in P/L account directly

Substantial jump of €50 is first used to reverse the 2 previous charges to the P/L account before €30 (€50 less €20) is credited to revaluation reserve

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The issue of top level management remuneration packages and its single biggest component 'share options' attracts a lot of headlines lately

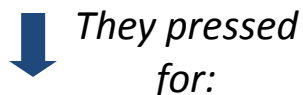
Investors have been becoming more agitated

vs.

Companies



Their shareholdings become diluted as new share options are issued



An annual charge in the P/L account for the annual impact of share options



Share options were simply a cost to be borne by other shareholders and that the entity itself was not affected

Financial Accounting Standards Board recommends, without requiring, companies to expense this cost

This issue is so broad and goes beyond our study, so we will consider only the mainstream requirements of share option accounting that will affect managers

Some definitions:

The day of grant

The date on which the employee is informed of the award of options



Remuneration committee sets the price of the option above the price of the share on the day of grant

The vesting day

The day on which the vesting conditions (e.g. length of time to be served or profitability levels to be reached before options become payable) is satisfied

The life of the option

The period between the day of the grant and the last day on which the grant can be exercised, beyond which the grant expires

Share price > Price set by board

The options are 'in the money'

Share price < Price set by board

The options are 'under water'

Share-based options are valued at the fair value of the equity instrument at the date when it was originally granted

The best way to describe share option accounting for "Cash-Settled Share-Based Transactions" is by working through the following example

Example

- The board of Glen Feshie Ltd, a quoted company, granted fifty of its most senior executives 1,000 share options each in January 20x0 when the share price was €50.
- These options would vest in January 20x2 to those individuals who were still employed by the company at that date. The exercise price of the options is €60. The executives could exercise their options any time from January 20x5 to December 20y1. Unexercised options automatically lapse upon an individual resigning.
- At the date of grant the board of Glen Feshie concluded that it could not estimate reliably the fair value of the share options granted and resolved to use intrinsic value, that is the difference between the market value of the underlying share and the exercise price of €60.

Management may use intrinsic value of the option – that is the price of the underlying share less the exercise price, if it can't estimate its fair value

- The intrinsic value of the option, and the number of share options exercised during 20x5 and 20y1 are as follows:

Year end	Market price €	Intrinsic value €	Number of options exercised
20x0	57	0	
20x1	62	2	
20x2	63	3	
20x3	65	5	
20x4	75	15	
20x5	88	28	6 000
20x6	100	40	8 000
20x7	90	30	5 000
20x8	96	36	9 000
20x9	105	45	8 000
20y0	108	48	5 000
20y1	115	55	2 000

- 1 During the first year of the vesting period (20x0) the intrinsic value of the granted options is zero
- 2 During 20x1, the share price exceeds the exercise price for the first time
- 3 In 20x1 the company estimates that 80% of the options will vest (20% of employees who had been granted options had left the company). During the vesting period a total of seven employees leave, so that 43 000 share options actually vest in January 20x2

Example (Continued)

- Under IFRS 2, Glen Feshie would require to start providing for these options in 20x1, because the option was 'in the money', i.e. that there was a strong possibility that the employees would begin to exercise their options from the first exercise date in 20x5.
- It would therefore set up a provision (a liability) in its balance sheet over the five years prior to the exercise period commencing, to cover the payment of options at the intrinsic values in each of those five years.
- In these years it would calculate the charge to each year's profit and loss account by using the 'cumulative expense' methodology identified in the standard:

Year	Calculation of cumulative expense	Cumulative expense (€)	Expense for period (€)
20x0	$50\,000 \times \text{€}0$	0	0
20x1	$50\,000 \times 80\% \times \text{€}2 \times 1/4$	20 000	20 000
20x2	$43\,000 \times \text{€}3 \times 1/2$	64 500	44 500
20x3	$43\,000 \times \text{€}5 \times 3/4$	161 250	96 750
20x4	$43\,000 \times \text{€}15$	645 000	483 750
20x5	$43\,000 \times \text{€}(28 - 15)$		559 000
20x6	$(43\,000 - 6\,000) \times \text{€}(40 - 28)$		444 000
20x7	$(37\,000 - 8\,000) \times \text{€}(30 - 40)$		(290 000)
20x8	$(29\,000 - 5\,000) \times \text{€}(36 - 30)$		144 000
20x9	$(24\,000 - 9\,000) \times \text{€}(45 - 36)$		135 000
20y0	$(15\,000 - 8\,000) \times \text{€}(48 - 45)$		21 000
20y1	$(7\,000 - 5\,000) \times \text{€}(55 - 48)$		14 000

Example (Continued)

- The total cost of the options exercised by the employees of Glen Feshie is €1,672,000.
- This figure can be checked by either multiplying the number of options exercised by the intrinsic value from the original data or by adding the ten years' expense charges to the P/L account in the calculation data.
- Before IFRS 2 was introduced, companies only had to account for the options exercised in the year of exercise (in Glen Feshie's case from 20x5 to 20y1) thereby end-loading the burden of €1,672,000 to the last seven years of the life of the options. Under IFRS 2, the burden starts immediately the options are 'in the money' and is therefore spread over eleven years.
- When one considers that options are used to motivate employees over a period of time, twelve years in the case of Glen Feshie, it is only proper that each year from grant date (provided the options are 'in the money') takes a portion of the overall cost, not just the years options are exercised.
- Clearly the first five years' charges, totaling €645,000, would not be paid out in cash but would be set up as a provision in the balance sheet from which the cash payouts starting in 20x5 would be charged against

Example (Continued)

- Under IFRS 2, Glen Feshie would require to start providing for these options in 20x1, because the option was 'in the money', i.e. that there was a strong possibility that the employees would begin to exercise their options from the first exercise date in 20x5.
- It would therefore set up a provision (a liability) in its balance sheet over the five years prior to the exercise period commencing, to cover the payment of options at the intrinsic values in each of those five years.
- In these years it would calculate the charge to each year's profit and loss account by using the 'cumulative expense' methodology identified in the standard:

Year	Calculation of cumulative expense	Cumulative expense (€)	Expense for period (€)
20x0	$50\,000 \times \text{€}0$	0	0
20x1	$50\,000 \times 80\% \times \text{€}2 \times 1/4$	20 000	20 000
20x2	$43\,000 \times \text{€}3 \times 1/2$	64 500	44 500
20x3	$43\,000 \times \text{€}5 \times 3/4$	161 250	96 750
20x4	$43\,000 \times \text{€}15$	645 000	483 750
20x5	$43\,000 \times \text{€}(28 - 15)$		559 000
20x6	$(43\,000 - 6\,000) \times \text{€}(40 - 28)$		444 000
20x7	$(37\,000 - 8\,000) \times \text{€}(30 - 40)$		(290 000)
20x8	$(29\,000 - 5\,000) \times \text{€}(36 - 30)$		144 000
20x9	$(24\,000 - 9\,000) \times \text{€}(45 - 36)$		135 000
20y0	$(15\,000 - 8\,000) \times \text{€}(48 - 45)$		21 000
20y1	$(7\,000 - 5\,000) \times \text{€}(55 - 48)$		14 000

What does IFRS 2 say about Equity-Settled Share-Based Transactions?

Examples of Equity-settled Share-based Transactions

- Paying for a major piece of plant by issuing equity instruments
- A senior executive to encourage loyalty and performance by issuing equity instruments

Under IFRS 2

The company shall:

Measure the goods or services received and the corresponding increase in equity, directly, at the ***fair value*** of the goods and services received

Measure their value, and the corresponding increase in equity, indirectly, by reference to the fair value of the equity instruments granted (If cannot be estimated reliably the fair value)

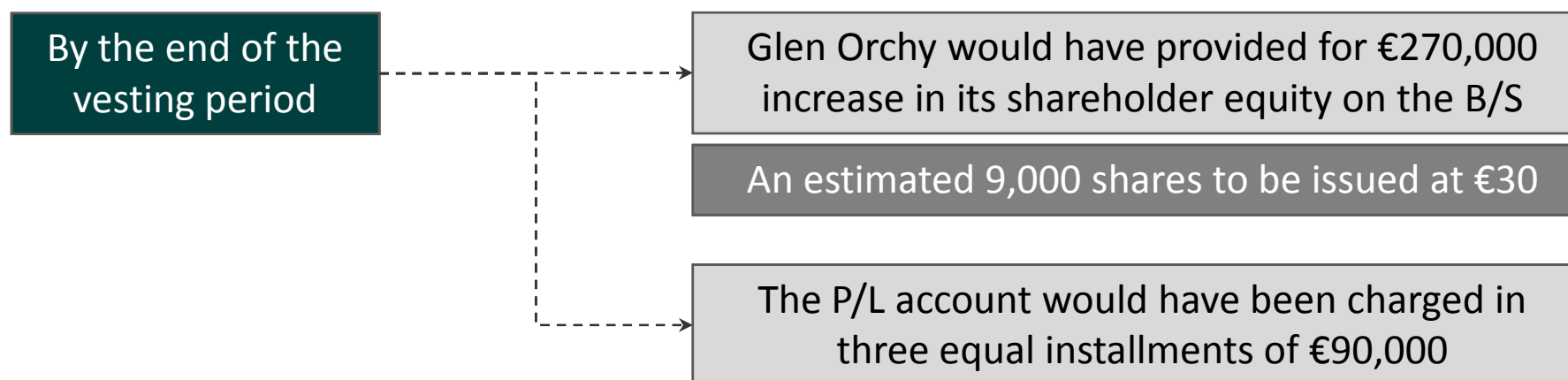
Let's see this working in practice:

- On 1 January 20x1 Glen Orchy Company issues 100 shares to each of its 100 employees, but that each grant is conditional on:
 - (a) the employees remaining in service over the next three years, to 31 December 20x4
 - (b) the return on equity growing by 6% over the same three years' vesting period
- The fair value of the share option at grant date was €30.
- On the basis of past experience the management of Glen Orchy estimate that 10% of the senior employees covered by the share option grant will leave within the three years and will therefore forfeit their rights to the shares.

Let's see this working in practice:

- Unlike Glen Feshie above who only started to account for the options to be issued if they got 'into the money' Glen Orchy would begin to account for the forthcoming issue of shares throughout the vesting period as follows:

Year	Calculation	Amount charged to P&L account (€)	Increase in equity (€)
20x1	10 000 options $\times$ 90% $\times$ €30 $\times$ 1/3	90 000	90 000
20x2	10 000 options $\times$ 90% $\times$ €30 $\times$ 2/3 minus €90 000	90 000	90 000
20x4	10 000 options $\times$ 90% $\times$ €30 $\times$ 3/3 minus €180 000	90 000	90 000



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Review Questions

Case Studies

IAS 19 Employee Benefits is the guiding standard with regards to pension benefits, we'll in this section to simplify it as much as possible

Pensions

Are employee benefits which are payable after the completion of employment

They come in 2 forms:

Defined Contribution "Defined Inputs"

A company pays an agreed contribution each year into a pension fund on behalf of an employee

Typically managed by a life assurance company or other professional

At the end the fund pays out a pension the amount of which is heavily dependent on the success of the fund's investments

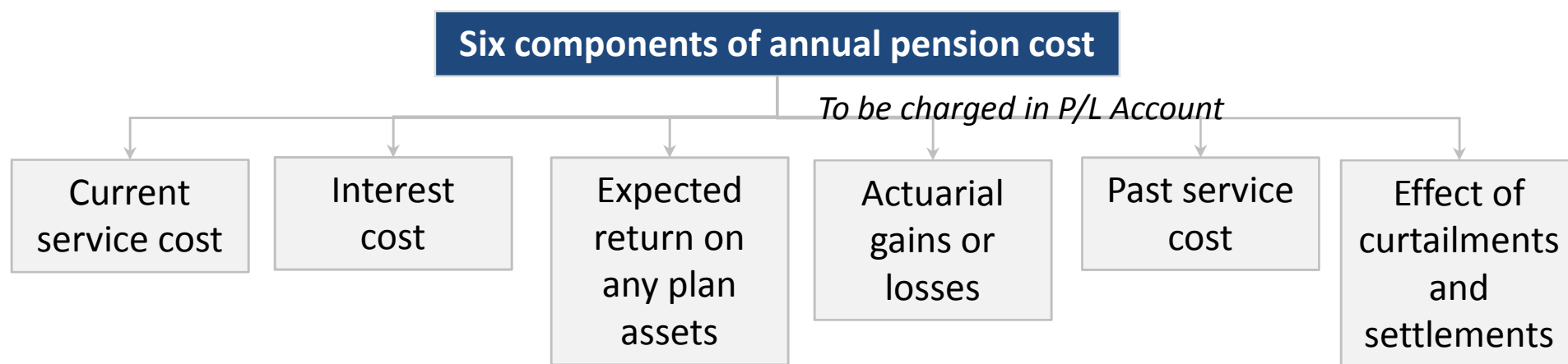
The company has no further responsibility
If pensioner is not satisfied

Defined Benefit "Defined Outputs"

Guarantees the pensioner a set amount each year based usually on his/her final salary or the average of the last three (or more) years' salary

IAS 19 sets out the six components of annual pension costs which should be charged to the profit and loss account

Impact of Defined Benefits on Profit and Loss Account

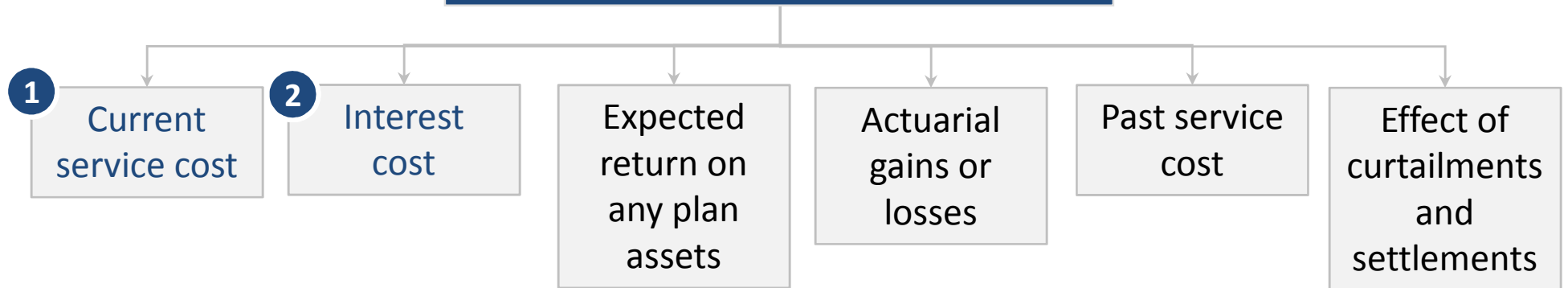


We will illustrate the operation of the first five of these components in this section, the last one is beyond the coverage of this introductory text

The first two components are current service cost and interest cost

Impact of defined benefits on profit and loss account

Six components of annual pension cost



IAS 19 provides a useful illustration to show how the basic mechanisms work

Example

A lump sum benefit is payable on termination of service and equal to 1% of final salary for each year of service. The salary in year 1 is €10,000 and is assumed to increase at 7% compound each year. The discount rate used is 10% per annum. The following table shows how the obligation builds up for an employee who is expected to leave at the end of year 5, assuming that there are no changes in actuarial assumptions. For simplicity, this example ignores the additional adjustment needed to reflect the probability that the employee may leave the company at an earlier or later date.

Year	1	2	3	4	5
	€	€	€	€	€
Benefit attributed to:					
– prior years	0	131	262	393	524
– current years (1% of final salary)	131	131	131	131	131
– current and prior years	131	262	393	524	655
Opening obligation	–	89	196	324	476
Interest at 10%	–	9	20	33	48
Current service cost	89	98	108	119	131
Closing obligation	89	196	324	476	655

IAS19 gave no workings for this example. Here are ours:

- Final salary at end of Year 5:

$$€10\,000 \times (1 + 0.07)^4 = €13\,100$$

- 1% of €13 100, namely €131, should be attributed to each year. Over five years these add up to €655, the lump sum payable on the termination of service.
- The obligation calculation (there are a number of ways to calculate the pension obligation which will be described below) commences with the current service cost being the benefit calculated above of €131 per annum discounted at 10% (the interest rate), to be discussed below:

$$\text{Year 1 } €131 \times (1 + 0.10)^{-4} = €89$$

$$\text{Year 2 } €131 \times (1 + 0.10)^{-3} = €98, \text{ etc}$$

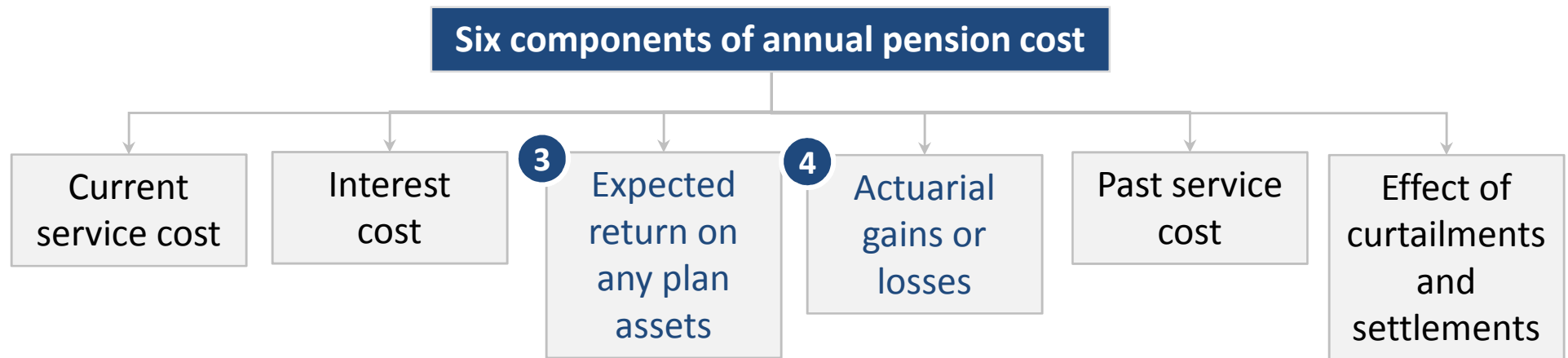
- The closing obligation in each year comprises the opening balance, the interest cost (in our example, 10%) on the opening balance, and the current service cost. Another way of calculating it is by multiplying the years served by the present value of €13 100:

$$\text{Say for year 4: } 4 \text{ years} \times €131 \times (1 + 0.10)^{-1} = €476$$

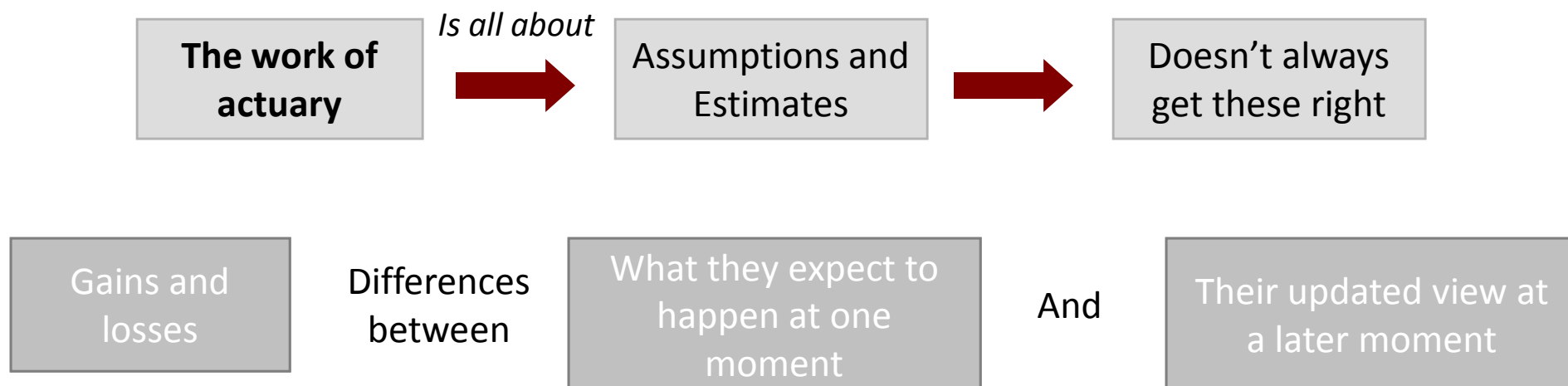
- The profit and loss account each year should include the current service charge and the interest charge for that year. (Check: add the total annual current charges €54 500 and the total annual interest charges €11 000 and they amount to €65 500, the exact sum required to meet the pension obligation.) The interest charge is calculated by multiplying the opening obligation by the discount rate (10% in the IAS 19 example). The standard states that the selected rate should reflect the estimated timing of benefit payments, so a company would select a different rate for payments to be paid out in five years from those to be paid out fifteen years. The standard also says that it should be determined by reference to the yield on

The second two components are expected return on any plan assets and actuarial gains or losses

Impact of defined benefits on profit and loss account



Before considering the example contained in IAS 19, let's consider how actuarial gains and losses arise on pension plan assets



Examples of such critical variables

High or low rates of mortality

Employee turnover

Retirement dates

Increases in salary

Average staff's service life

Differences between the expected return on plan assets and the actual return

Age distribution of the staff

Life expectancies of pension plan participants

Example of expected return on plan assets (as given in IAS 19)

Example

At 1 January 20x1 the fair value of the plan assets was €10,000 and net cumulative actuarial gains (which have not been recognized as profit) were €760. On 30 June 20x1, the plan paid benefits of €1,900 and received contributions of €4,900. At 31 December 20x1 the fair value of the plan assets was €15,000 and the present value of the defined benefit obligation was €14,792. During 20x1 actuarial losses on the obligation were €60.

Various disclosures:

At 1 January 20x1 the company would make the following estimates, based on market prices at that date:

	%
Interest and dividend income after tax (payable by fund)	9.25
Realised and unrealised gains (after tax) on plan assets	2.00
Administration costs	(1.00)
Expected rate of return	<u>10.25</u>

Example of expected return on plan assets (as given in IAS 19)

Various disclosures (Continued):

For 20x1, the expected rate of return on plan assets was:

	€
Return on €10 000 held for 12 months at 10.25%	1 025
Return on net additions of €3000 for 6 months at 10.25%	154
Expected rate of return on plan assets on 1 January 20x1	<u>1 179</u>

At 31 December 20x5 the actual return on plan assets would be calculated:

	€
Fair value of plan assets at 31 December 20x5	15 000
Less fair value of plan assets at 1 January 20x5	<u>(10 000)</u>
Apparent growth in asset value	5 000
<i>Adjusted for:</i> Contributions received during 20x5	(4 900)
Benefits paid out during 20x5	<u>1 900</u>
Actual return on plan assets for 20x5	<u>2 000</u>

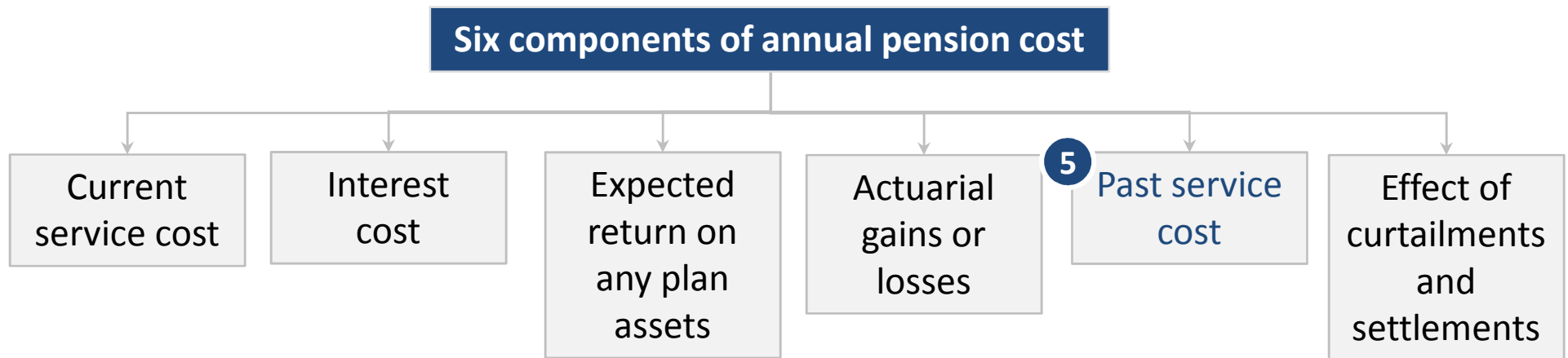
Example of expected return on plan assets (as given in IAS 19)

- The difference between the actual return of €2,000 and the expected return €1,179 is €821.
- Adjusting for the unrecognized carried forward actuarial gains of €760 and the actuarial losses during 20x1 of €60, the net figure is the actuarial gain for 20x1 of €1,521.
- This is the figure which would be credited to the company's P/L account subject to one last adjustment. IAS 19 does not require all actuarial gains and losses to be taken to the profit and loss account in case the scale of the number causes sharp movements in reported profits in any year; it therefore stipulates that only those net cumulative unrecognized actuarial gains or losses (in our example €1,521) exceed the greater of:
 - (a) 10% of the present value of the defined benefit obligation (€14,792)
 - (b) 10% of the fair value of the plan assets (€15,000)
- Thus €21 will be recognized being the difference between the net actuarial gain of €1,521 and €1,500 (being 10% of €15,000). This is called **"Corridor Testing"**

The non-recognized portion of the actuarial gains or losses will feature as either a pension asset or a pension liability on the B/S

The last component is past service cost

Impact of defined benefits on profit and loss account



A past service cost is the increase in the present value of the defined benefit obligation for employee service in prior periods but occurring in the current period

Past Service Costs

The increase in the present value of the defined benefit obligation for employee service in prior periods, which occurs in the current period from the introduction of, or changes to, post-employment benefits

IAS 19

In measuring its defined benefits liability

An employer should recognize past service cost as an expense on a straight-line basis over the average period until the benefits become vested

since:

Past service awards are granted in return for employee service over the vesting period

Regardless of the fact that the cost refers to employee service in previous periods

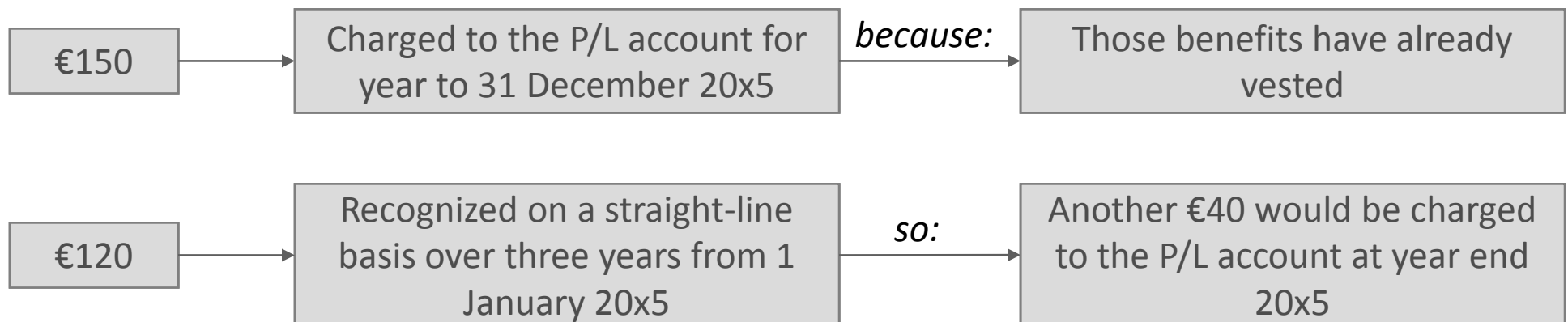
If benefits are vested immediately following the changes to a defined benefit plan, the past service cost should be recognized immediately

IAS 19 provides an illustration

Example

A company operates a pension plan that provides a pension of 2% of final salary for each year of service. The benefits become vested after five years of service. On 1 January 20x5 the entity improves the pension to 2.5% of final salary for each year of service starting from 1 January 20x1. At the date of the improvement, the present value of the additional benefits for service from 1 January 20x1 to 1 January 20x5 is as follows:

Employees with more than five years' service at 1/1/05	€ 150
Employees with less than five years' service at 1/1/05 (average period until vesting: three years)	120
	270



IAS 19 requires the company's balance sheet to carry a figure relating to a defined benefit plan to be the net total

Net Total Carried to Balance Sheet

The present value of the defined benefit obligation at the B/S date before deducting the fair value of any plan assets

+

Actuarial gains and less actuarial losses not yet recognized

-

Past service cost not yet recognized

-

The fair value of plan assets, at balance sheet date, out of which obligations are to be settled directly

The net total is the measure of over or underfunding existing in a defined benefit plan

Net Total carried to Balance Sheet

The extent to which a plan is overfunded

is carried as:

An asset

because

1 The company controls the resource & able to use the surplus to generate future benefits

2 That control is a result of past events (contributions paid by the entity and service rendered by the employee)

3 Future economic benefits are available to the company in the form of a reduction in future contributions or a cash refund, either directly to the company or to another plan in deficit

The extent to which a plan is underfunded

is carried as:

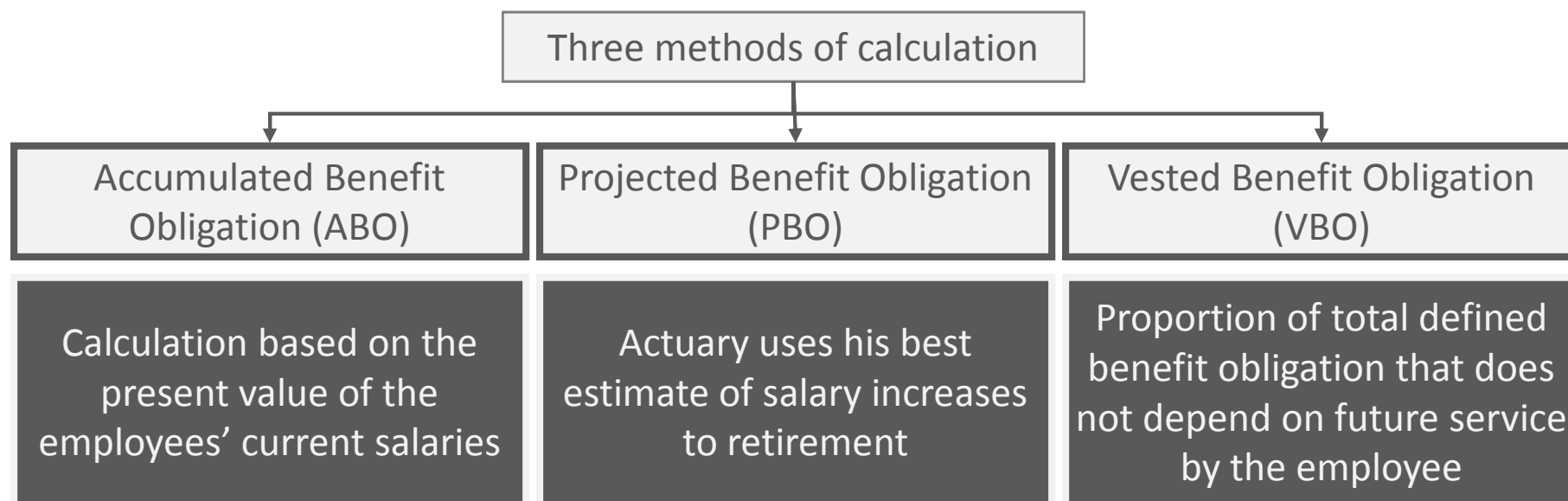
A liability

IAS 19 identifies three ways to calculate defined benefits pension obligation figure

A Fuller Note on Calculating Pension Obligations

Defined benefits pension obligation

Actuarial estimates are combined with the pension plan's benefit formula to generate a forecast of benefits to be paid in the future. Then it is discounted arithmetically to bring it back to a present value at the company's reporting date.



PBO estimate will be higher than ABO due to the inclusion of future salary increases unless it is calculated on a non-salary-related component like medical aid

A small increase or decrease in any variable can have a substantial effect and can swing an actuarial gain on the pension fund to an actuarial loss

	Action	Effect	Gain/Loss
Discount rate	Is increased	Present value of the pension obligation will be lowered	Actuarial gain for the year
Salary estimate	Is increased	A higher pension obligation	Actuarial loss for the year
Fund valuation Stock market returns estimates Bond market returns estimates	Slight change	Big changes in valuation of assets (in the fund) so affecting pension expense	Affecting earnings

A short test of your understanding of the last three paragraphs

Which combination of assumptions produces a higher earnings figure for the company which uses the PBO method of calculation?

- A. A lower discount rate; a higher salary rate increase; a lower expected return on plan assets.
- B. A higher discount rate; a lower salary rate increase; a higher expected return on plan assets.

Option A

The perfect storm where each component, taken by itself, will produce a higher annual charge on the company; taken together the combination could have a profoundly negative effect on bottom line corporate earnings

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Case Studies

The subject of this section has caused more controversy within the financial community than any other; it is also well known for its complexity

What is a Financial Instrument?

Any contract that gives rise to a financial asset of one enterprise and a financial liability or equity instrument of another enterprise

It is the financial asset or liability

x

It is the contract

✓

It includes derivatives:

Financial options

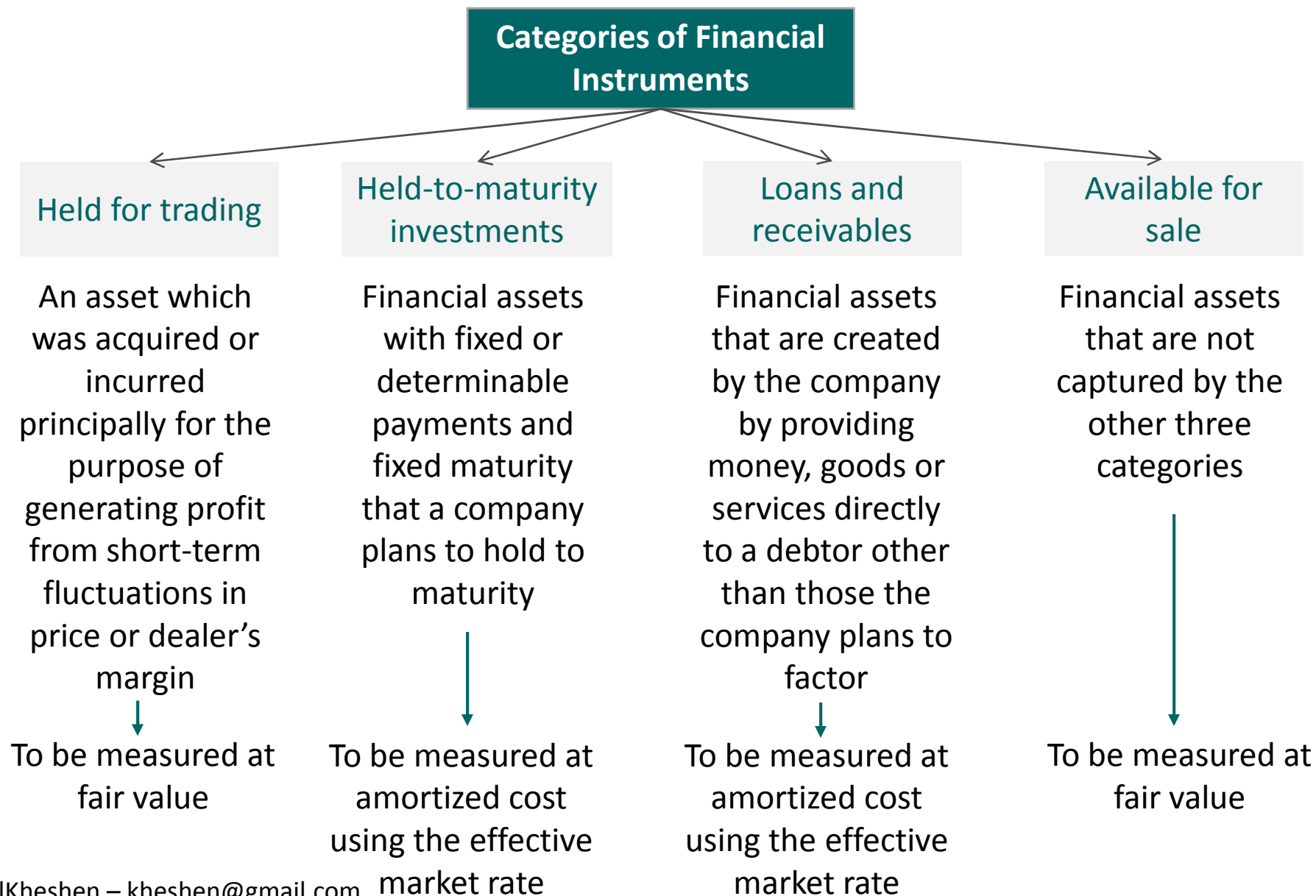
Financial futures

Financial forwards

Interest rate swaps

Currency swaps

IAS 39 requires financial instruments to be placed in one of four categories for financial assets and/or financial liabilities



Some definitions need to be made before moving on to an example; these include amortized cost and effective interest rate

Amortized Cost

$$= \text{Amount at which the financial asset or liability was measured at initial recognition} - \text{Principal repayments} \pm \text{Cumulative amortization of any difference between the initial amount \& maturity amount} - \text{Any write-down for impairment or uncollectability repayments}$$

Effective interest rate

The rate that exactly discounts the expected stream of future cash payments through maturity or the next market-based repricing date to the current net carrying amount of the financial asset or liability

Let's consider the accounting for a held-to-maturity investment in the balance sheet and profit and loss account of Pentland Company

Example

On 1 April 20x1, Pentland purchased €500,000 par value bonds paying 8.5% in Solway Company. The bonds were priced to yield 10% and the bonds had a maturity date of 31 March 20x6. The value of the bonds on acquisition is calculated as follows:

Present value of interest payments:	€
8.5% of €500 000 for five years discounted at 10%	
(€42 500 × 3.79079, that is the annuity factor at 10% for 5 years)	161 108
Present value of maturity value:	
€500 000 × 0.62092, the annuity factor at 10% for 5 years	310 460
Market value of bond	<u>471 568</u>
Par value of bond	500 000
Therefore the discount at acquisition would be	<u>28 432</u>

It is this amount of amortization that lifts the carrying value of the bond in Pentland's balance sheet

Example (continued)

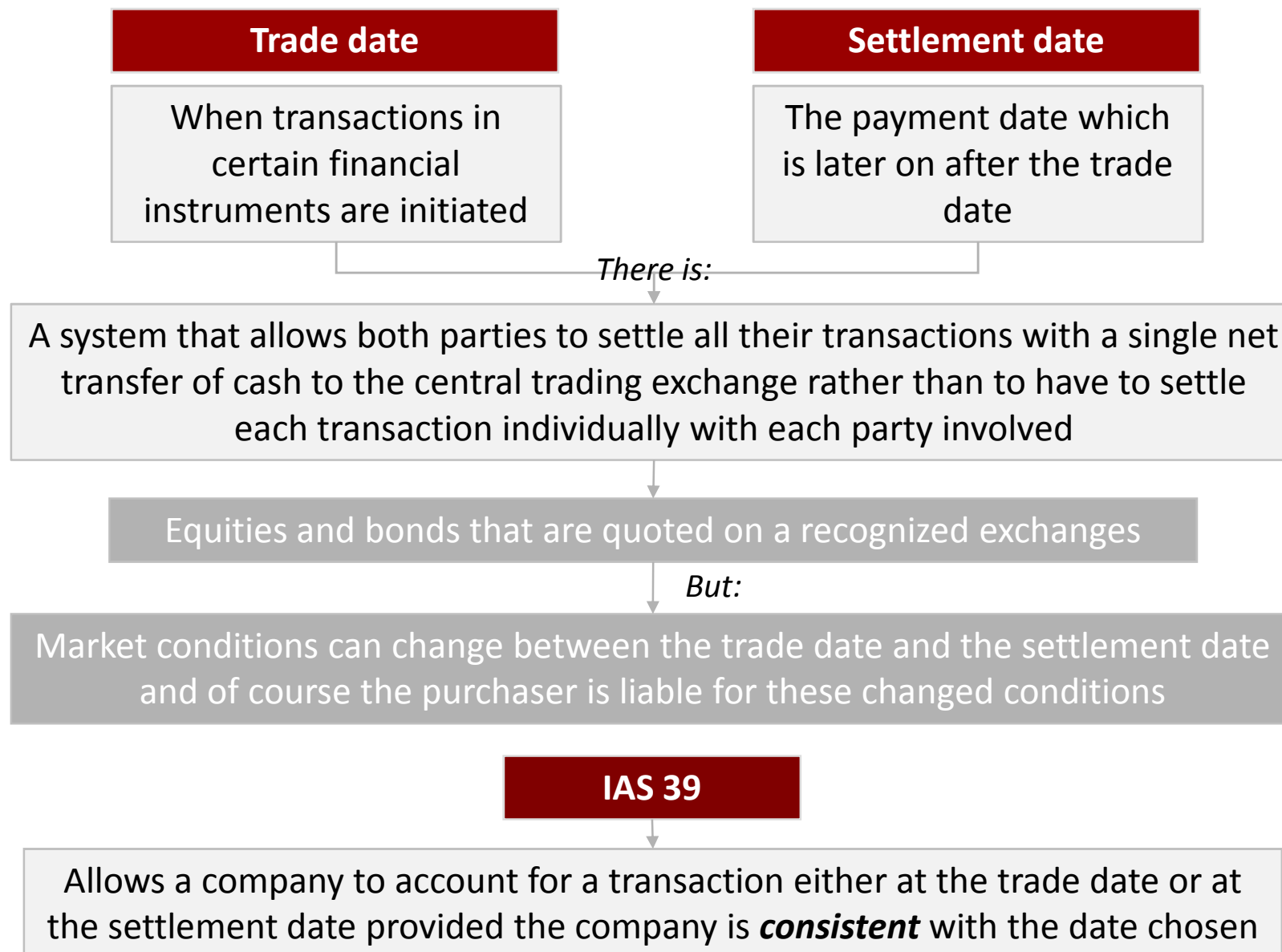
In the balance sheet of Pentland on the day of acquisition, the bond would be carried as an asset at €471,568. This value will gradually increase (see last column below) by the amount of the discount amortized (see third column below) until maturity date when Pentland will receive €500,000 on 31 March 20x6. Now we need to account for the discount enjoyed of €28,432 over the five years' life of the bond:

	Interest income (carrying amount × 10%)	Cash received	Discount amortised	Discount remaining	Carrying amount	
<i>The amount to be carried to the P/L account</i>						<i>8.5% of €500,000 par value of the bond</i>
1 April 20x1				€28 432	€471 568	
31 March 20x2	€47 157	€42 500	€4 657	23 775	476 225	
31 March 20x3	47 622	42 500	5 122	18 653	481 347	
31 March 20x4	48 135	42 500	5 635	13 018	486 982	
31 March 20x5	48 698	42 500	6 198	6 820	493 180	
31 March 20x6	49 318	42 500	6 818*		500 000	<i>The amount of discount €28,432 amortized over the five years</i>

**rounding error; should be €6 820 to amortise the discount completely.*

On 31 March 20x6 Pentland will receive €500,000 in cash from Solway

Let us introduce one other aspect of financial instruments: the choice of accounting date and its impact



Example

On 29 December 20x1, a company commits to purchase a financial asset for €1,000, which is its fair value on commitment (ie. trade) date. Two days later, on 31 December 20x1, the company's year-end, the fair value of the asset is €1,002 and a further four days later, on settlement date 4 January 20x2, the fair value is €1,003.

We will treat this acquired financial asset as being one (a) held-to-maturity; and (b) held-for-trading or available-for-sale.

We will work the numbers for both timings, trade date accounting and settlement date accounting.

Example (Continued)

(a) Asset held-to-maturity

	Trade date accounting		Settlement date accounting	
	€	€	€	€
29 December 20x1				
Financial asset	1 000			
Liability to pay for asset		1 000		
31 December 20x1				
Financial asset	1 000			
Liability to pay for asset		1 000		
4 January 20x2				
Financial asset	1 000		1 000	
Cash	-1 000		-1 000	
Liability to pay for asset		0		

Note that assets held-to-maturity are held at amortized cost. On trade day we record the asset we are committed to paying for and the matching liability. This is the position at the year-end. On settlement date we pay cash and eliminate the liability. There is no amortization required in this example and we do not attempt to record the fair values.

Example (Continued)

(b) Asset held-for-trading or available-for-sale

	Trade date accounting		Settlement date accounting	
	€	€	€	€
29 December 20x1				
Financial asset	1 000			
Liability to pay for asset		1 000		
31 December 20x1				
Financial asset	1 002			
Receivable			2	
Liability to pay for asset		1 000		
Profit and loss account		2		2
4 January 20x2				
Financial asset	1 003		1 003	
Receivable			0	
Cash	-1 000		-1 000	
Liability to pay for asset		0		
Profit and loss account		1		1

Example (Continued)

- Under IAS 39 financial assets held-for-trading or financial assets available-for-sale must be recorded at fair value.
- Under trade date accounting we see the first uplift to fair value coming in at year-end. The asset is increased to €1,002 and the profit and loss account is credited with the uplift of €2.
- On settlement date, another uplift is required to fair value; a further €1, taking the carrying value of the asset to €1,003 and a further €1 credit to profit and loss account.
- Under settlement date accounting, the fair value of €1,003 is recorded as an asset and the two uplifts are recorded in the periods that they occurred; at the year-end the non-existent asset is increased by €2 (we term this a receivable because the company has not yet 'received' the uplift and the profit and loss is credited with €2).
- On settlement date a further €1 is credited to the profit and loss account and the carrying value is recorded (and thereby eliminating the receivable)

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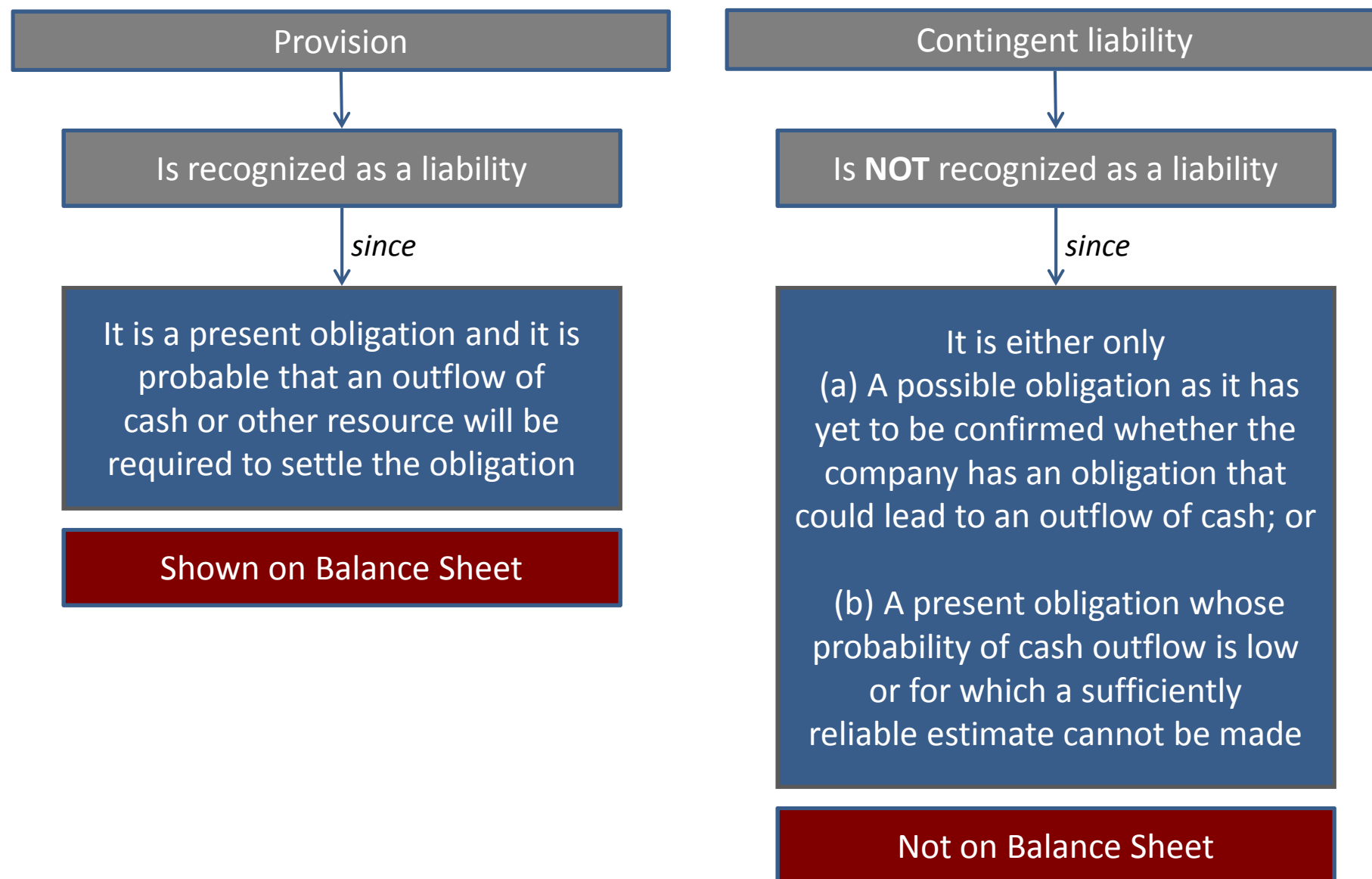
7.8 Management Commentary

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Review Questions

Case Studies

First, let's look at the difference between a provision and a contingent liability



A contingent asset is often simply a right to a future potential claim that is based on past events

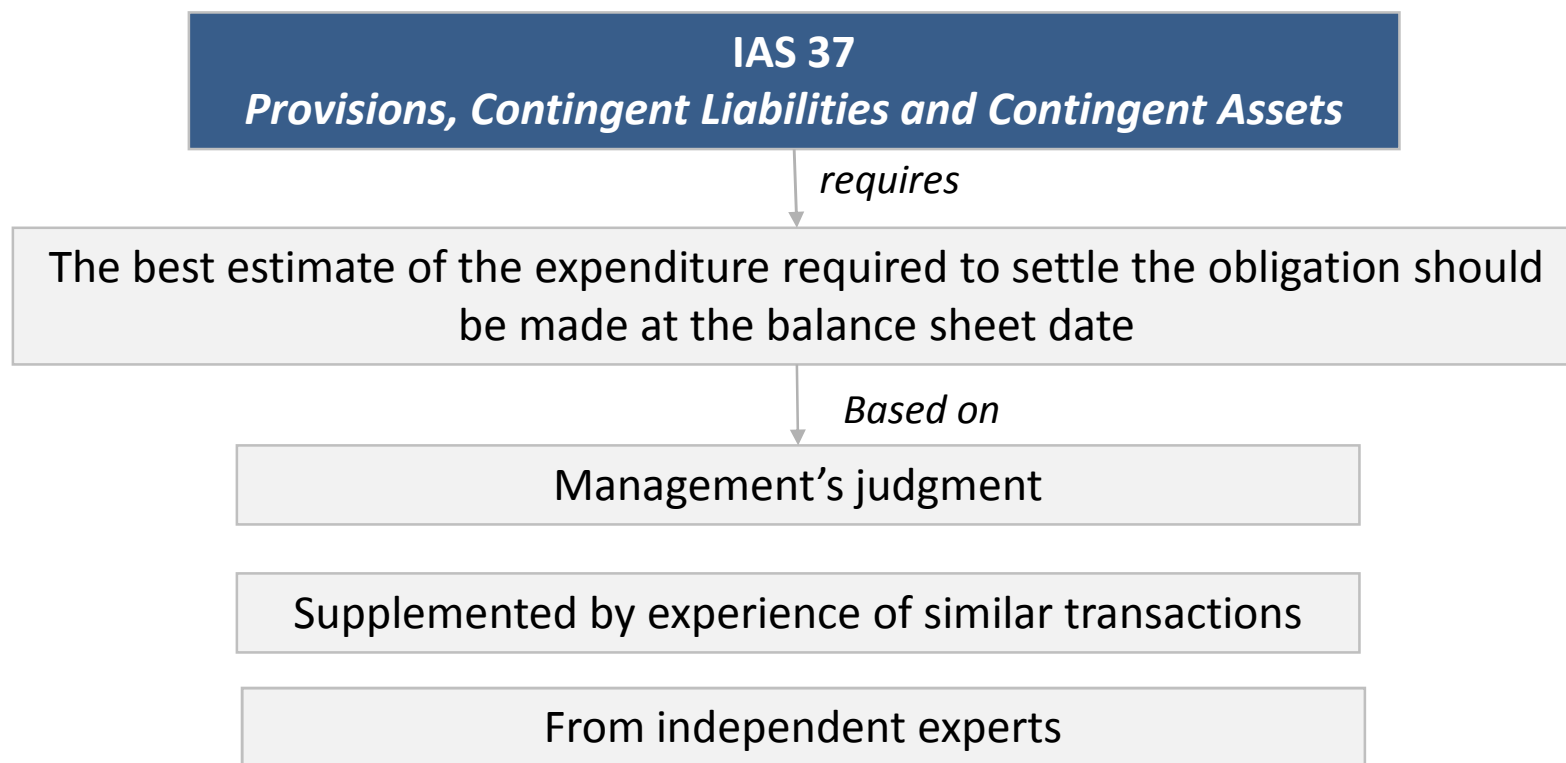
Contingent
Asset

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graph TD; A[Contingent Asset] --> B["A possible asset that arises from past events and whose existence will be confirmed only by the occurrence or nonoccurrence of one or more uncertain future events not wholly within the control of the company"]; B --> C[Not on Balance Sheet];
```

A possible asset that arises from past events and whose existence will be confirmed only by the occurrence or nonoccurrence of one or more uncertain future events not wholly within the control of the company

Not on Balance Sheet

With provisions, IAS 37 requires that the best estimate of the expenditure required to settle the obligation should be made at the balance sheet date



IAS 37 provides an illustration that shows how we should place provision in the balance sheet at year end

Example

- A company sells goods with a warranty under which customers are covered for cost of repairs of any manufacturing defects that become apparent within the first six months after purchase.
- If minor defects were detected in all products sold, repair costs of €1 million would result.
- If major defects were detected in all products sold, repair costs of €4 million would result.
- The company's past experience and future expectations indicate that, for the coming year, 75% of the goods sold will have no defects, 20% of the goods sold will have minor defects and 5% will have major defects.
- How should the warranty provision be the balance sheet at year end?

IAS 37 provides an illustration that shows how we should place provision in the balance sheet at year end

Solution

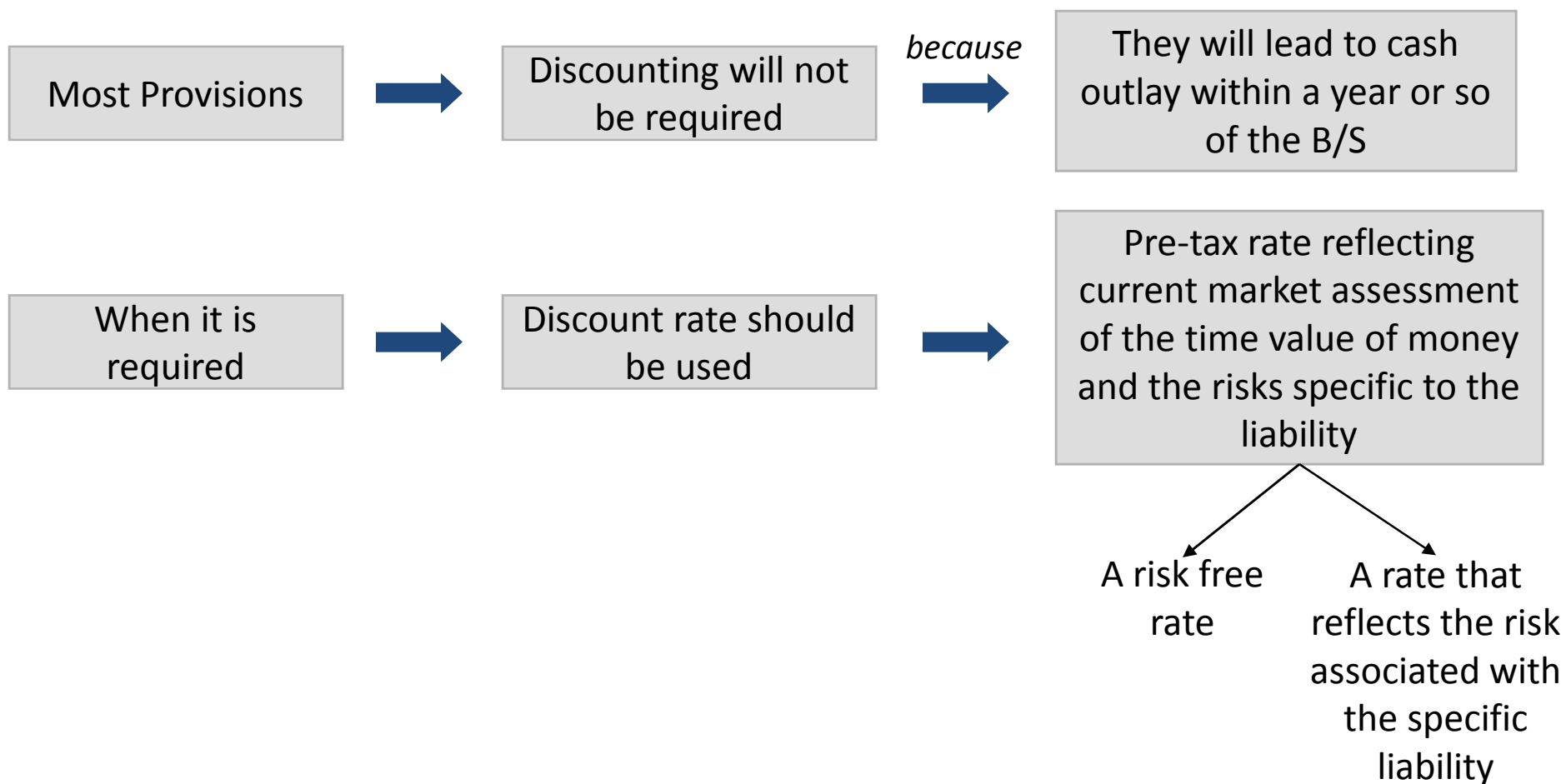
The expected value of the cost of repairs is:

$$(75\% \text{ of nil}) + (20\% \text{ of €1 million}) + (5\% \text{ of €4 million}) = \text{€400 000}$$

This amount would be charged to the profit and loss account as an expense of the year but because it had not been paid by year end, the amount would be set up as a liability in the balance sheet

IAS 37 requires the amount of provision to be discounted to its present value at the balance sheet date (if time value of money is material)

Solution



The following example was provided by the UK's Accounting Standards Board which worked closely with IASB in developing IAS 37

Example

A company has a provision for which the expected value of cash outflow in three years' time is €150, and the risk-free rate is 5%. The company is risk averse and would settle instead for a certain payment of €160 in three years' time.

The effect of risk in calculating the present value is that either:

- (a) the 'certainty equivalent' of €160 is discounted at the risk-free rate of 5%, giving a present value of €138; or
- (b) the expected cash flow of €150 is discounted at a risk-adjusted rate that will give the present value of €138, i.e. a rate of 2.8%

€160 multiplied by the discount factor relating to 5% over three years, namely 0.864.

A present value table is provided at the end of Module 15

To prevent management from making excessive provisions in years of high profits and reversing these in leaner years, the terms of IAS 37 are strict

'Big Bath' Accounting

Making excessive provisions in years of high profits and reversing these in leaner years

Example

Let's see these in operation in regard to the restructuring of a business such as a sale of termination of a line of business, the closure of a business location or the relocation to another region or country, or changes in management structure by eliminating a layer of management.

IAS 37 requires that the company must have:

- (a) a detailed formal plan for the restructuring, identifying at least:
 - i. The business or part of the business identified;
 - ii. The principal locations affected;
 - iii. The location, function, and approximate number of employees who will be compensated for terminating their services;
 - iv. The expenditures that will be undertaken; and
 - v. When the plan will be implemented.
- (b) raised a valid expectation in those affected that it will carry out the restructuring by starting to implement the plan or announcing its main features to those affected by it

IAS 37 requires companies to disclose a lot of information in their notes to accounts related to contingent liabilities and contingent assets

IAS 37

Requires companies to

Contingent liabilities

1

To disclose a brief description of the nature of the contingent liability

2

An estimate of its financial effect

3

An indication of the uncertainties relating to the amount or timing of any outflow

4

The possibility of any reimbursement

Contingent assets

1

To disclose where an inflow of economic benefits is probable

2

Again give a brief description of the nature of the contingent asset at the balance sheet date

3

Again an estimate of its financial effect

Self-Test Scenarios

Would you set up a provision or a contingent liability or neither for the following events?

As part of a major acquisition, Retail Group X has acquired a number of high street stores which the competition authorities require it to dispose of. By the end of the year, no disposals have taken place but the best estimate of their sale value is €35 million. As part of the acquisition these stores cost the group €45 million to buy

A provision of €10 million should be set up in the accounts of Retail Group X as this is an obligation that the company has in relation to past events and it is relatively easy to quantify the loss that will be incurred

An airline is required by law to subject its passenger-carrying engines to a major strip-down and servicing every four years. Each engine strip-down and servicing costs €2 million

No provision or contingency need be set up. While it may be a overall legal requirement on every airline to overhaul its engines, this airline could avoid the commitment by selling the planes or the engines before four years elapse

Self-Test Scenarios (Continued)

Would you set up a provision or a contingent liability or neither for the following events?

A pharmaceutical company whose drug designed to alleviate medical condition A is claimed by some consumers to have provoked medical condition B which has, in an extreme case, caused death. It is disputing liability for any alleged damage caused and its lawyers advise that it is probable that it won't be found liable

No provision is required because, at the balance sheet date, the pharma company has no obligation to settle. It is likely that it would record a contingent liability note in the notes to the accounts unless the lawyers are adamant that the probability of paying out cash in the future in settlement is extremely remote

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We'll now discuss management commentary and its purpose

Management Commentary (MC)

"Information that accompanies financial statements as part of a company's financial reporting"

Explain the main trends underlying the development, performance and position of the company's business during the period covered by the financial statements

Explain the main trends and factors that are likely to affect the company's future development, performance and position

Purpose of MC

Provide information to help investors to:

Interpret and assess the related financial statements in the context of the environment in which the entity operates

Assess what management views as the most important issues facing the entity & how it intends to manage those issues

Assess the strategies adopted by the entity and the likelihood that those strategies will be successful

Notes about Management Commentary

MC should ***supplement*** and ***complement*** information provided in the financial statements

It should be management's view of the business, disclosing appropriate elements of information, and assessments made

MC should also have a future orientation

IASB requires management to write their commentary in plain language & use graphics

IASB's discussion paper is proposing that companies should discuss their future plans and objectives and how successful they were in achieving these

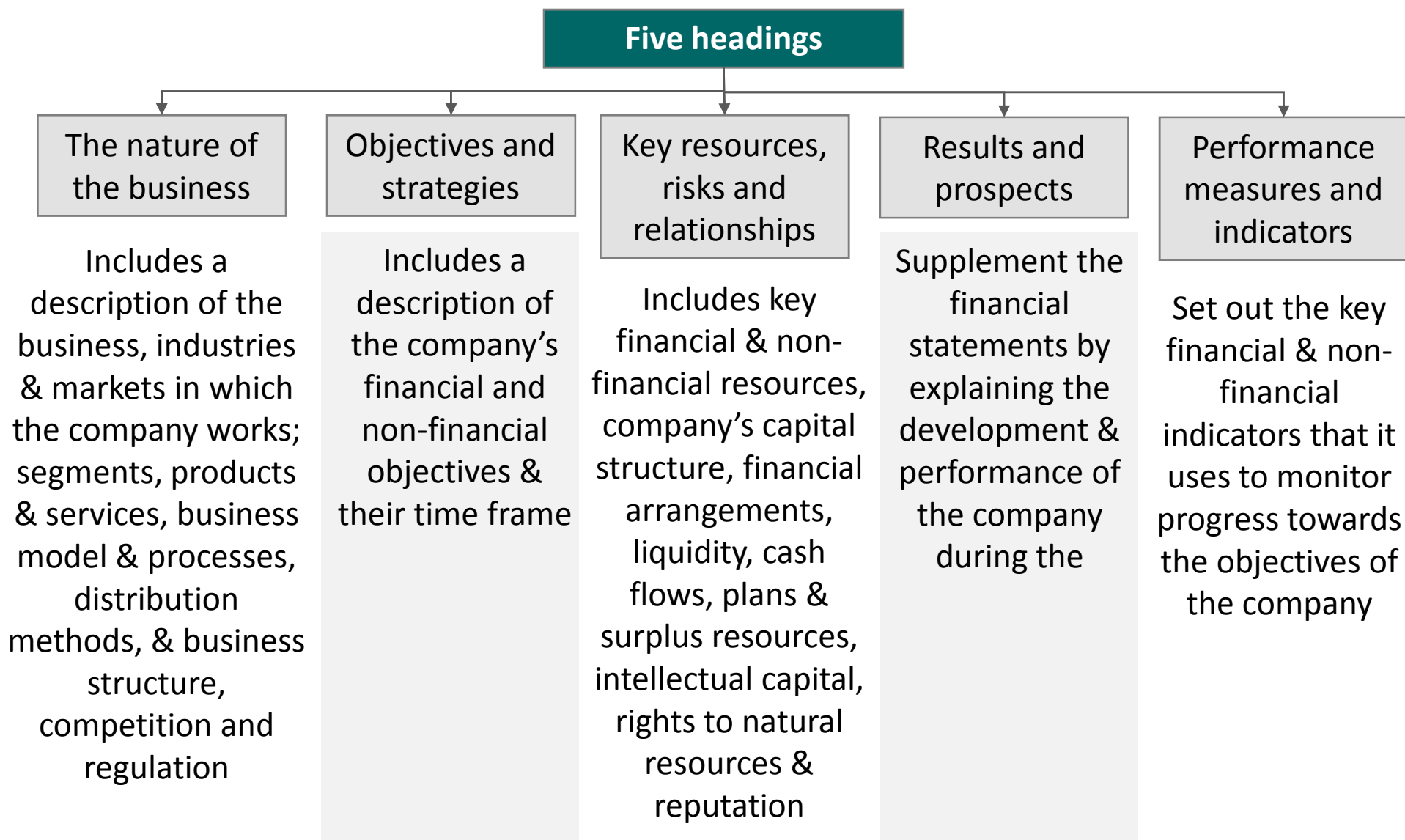


Predicted to be greeted with an element of hostility



Management never like committing themselves in public as to how they see the future, far less having to admit that things didn't go according to plan

Five principles headings are identified by IASB for MC but companies will interpret these in a manner that is appropriate to their businesses



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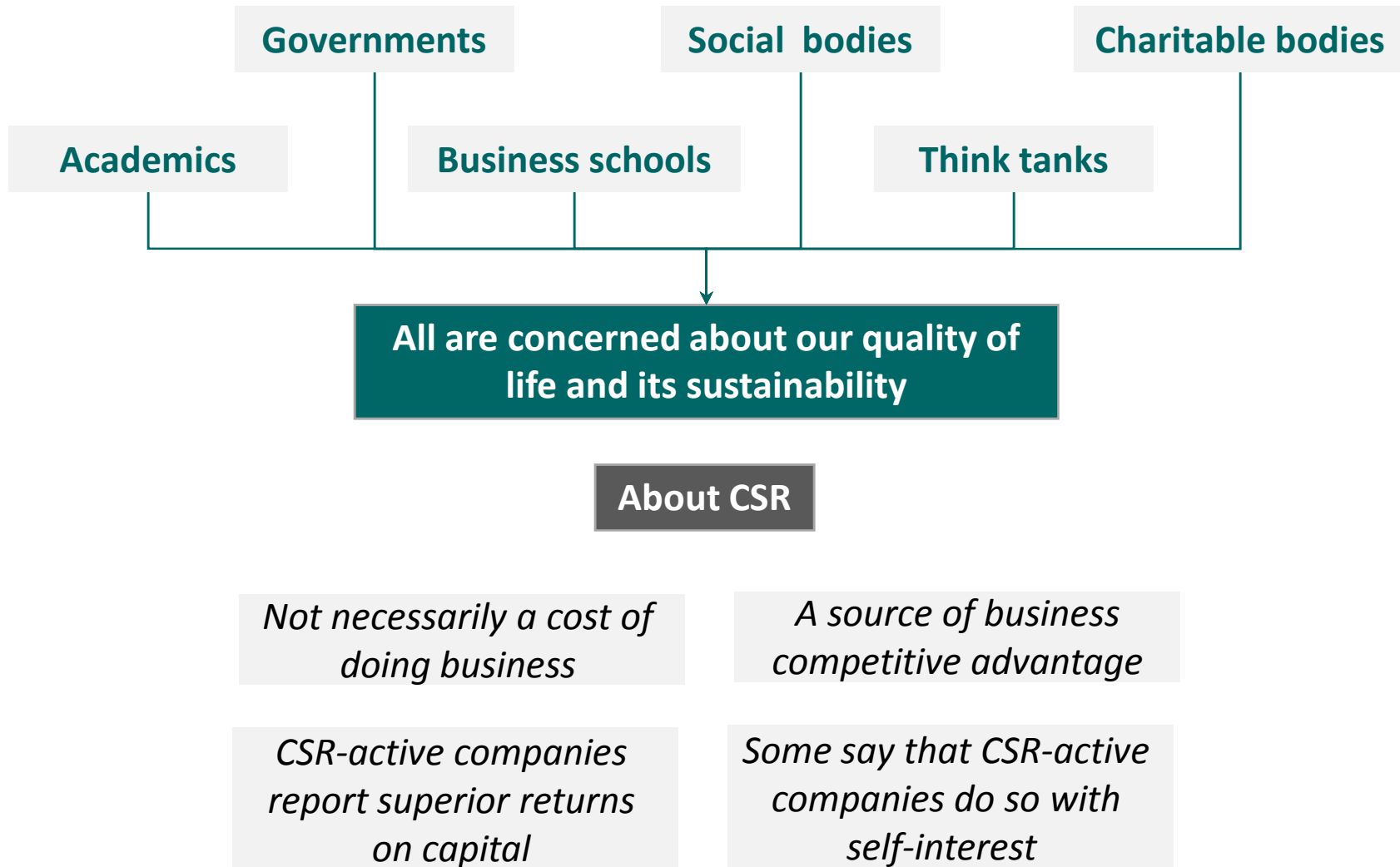
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Much is being written these days on corporate social responsibility (CSR)



First let's list the some voluntary activities some companies are reporting on today, that they do voluntarily

Emissions of harmful waste into the earth's atmosphere

The consumption of minerals and other extractive products which have a finite supply globally

The use of harmful substances in the production or delivery cycles

The design in products and services which remove harmful substances either in use or at time of disposal

Facilities offered to customers to enable safe disposal of end-of-life products

Health and safety at work

Marketing strategies to vulnerable sectors such as children and those whose ability to take on more credit are severely impaired by the debt levels they currently carry

Diversity policies in employment relating to ethnicity, age, gender, disability, and sexual preference

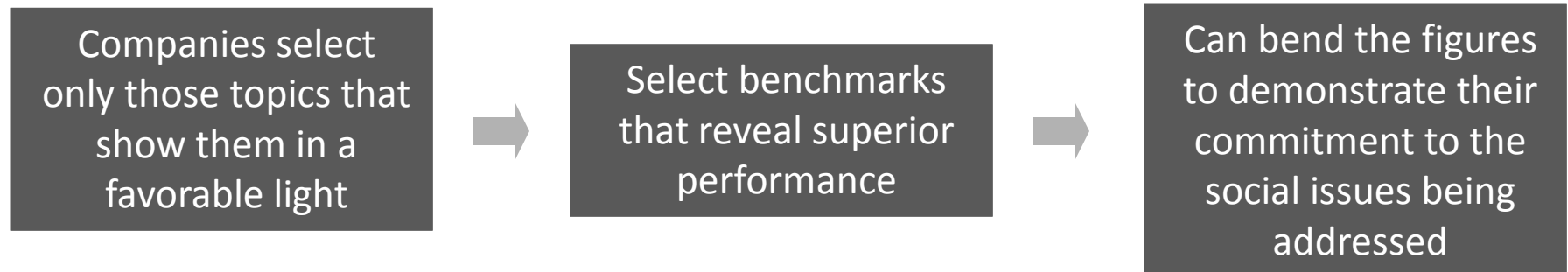
Yet there are still some critics who hint that companies select only those topics that show them in a favorable light

Criticism and accusations

Lack of a clear (but variable) list of topics which should be addressed by each company

Lack of objective benchmarks against which performance can be measured

Lack of independent audit of the facts and figures reported



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Multiple Choice Questions

7.1 In accounting for business combinations, which one of the following describes the concept of 'fair value' for assets exchanged?

- A. The amount for which the assets were originally acquired.
- B. The original cost of acquisition of the assets less depreciation to date.
- C. The current replacement cost of the assets.
- D. The amount agreed between willing parties in an arm's length transaction.

Multiple Choice Questions (Continued)

7.2 In accounting for business combinations, which one of the following would be an acceptable approach to the valuation of the work-in-progress element of inventories in line with the concept of 'fair value'?

- A. Materials, labor and appropriate overhead.
- B. Current replacement cost.
- C. Selling prices of equivalent finished goods, less costs to completion and an appropriate profit margin.
- D. Material and labor cost only.

Multiple Choice Questions (Continued)

7.3 According to IFRS3, which of the following is not an example of an identifiable intangible asset?

- A. Trademarks.
- B. Software.
- C. Brands.
- D. Computer software.

Multiple Choice Questions (Continued)

7.4 How are annual impairment tests carried out on goodwill arising from a business combination?

- A. By general management review of total goodwill in the balance sheet.
- B. By allocating goodwill to CGUs and reviewing the performance of each CGU.
- C. By deciding on a fixed annual rate of amortization.
- D. By adjusting the rate of amortization to match the operating performance.

Multiple Choice Questions (Continued)

The following information applies to Questions 7.5–7.6.

Portrush Limited has acquired Ballybunion Limited for €20m on 1 January 20x0. It is assessed that Ballybunion's identifiable net assets have a value of €14.6m as at 1 January 20x0. When its accountants are preparing the consolidated balance sheet for Portrush Limited at 31 December 20x0, it is calculated that the recoverable amount for Ballybunion is computed to be €13.8m.

7.5 What is the impairment loss for 20x0?

- A. Nil.
- B. €0.8m
- C. €5.4m
- D. €6.2m

Original carrying amount of identifiable assets	€14.6m
Recoverable amount at 31 December 20x0	€13.8m
Impairment loss	<u>€0.8m</u>

Multiple Choice Questions (Continued)

7.6 If the recoverable amount for Ballybunion Limited was €9.6m at 31 December 20x0, what is the revised carrying value for goodwill at that date?

- A. €0.4m
- B. €5.4m
- C. €9.6m
- D. €10.4m

Original carrying amount of identifiable assets	€14.6m
Recoverable amount at 31 December 20x0	€9.6m
Impairment loss	€5.0m
Original carrying amount of goodwill	€5.4m
Less: Impairment loss	€5.0m
Revised carrying value	€0.4m

Multiple Choice Questions (Continued)

7.7 Under IAS38, which of the following is not considered to be a relevant factor in testing whether expenditure on intangible activities should be capitalized?

- A. Significance of costs incurred.
- B. Control.
- C. Identifiable nature.
- D. Existence of future economic benefits.

Multiple Choice Questions (Continued)

The following information applies to Questions 7.8–7.9

Border Electronics plc has incurred significant costs over the past four years in the research and development phase for its new water-less washing machine. The following costs have been identified:

	Research €m	Development €m
20x0	10	–
20x1	8	6
20x2	–	15
20x3	–	7

Further information is relevant:

- In 20x3, €4m of the expenditure related to dealing with initial customer problems after the product launch.
- In 20x2, the research phase was completed at 30 June, whilst development activity commenced on 1 April.

Multiple Choice Questions (Continued)

7.8 Assuming that this project qualifies for capitalization as an intangible asset, what is the maximum amount that can be capitalized over 20x0 and 20x1?

- A. €4m.
- B. €6m.
- C. €18m.
- D. €24m.

Multiple Choice Questions (Continued)

7.9 Assuming that this project qualifies for capitalization as an intangible asset, what is the maximum amount that can be capitalized over 20x2 and 20x3?

- A. €4m.
- B. €15m.
- C. €18m.
- D. €22m.

Multiple Choice Questions (Continued)

The following information applies to Questions 7.10–7.12.

Hi-tech Products Limited has had a history of capitalizing R&D expenditure on specific, justifiable projects. A project to develop a new CO₂ gas detector for environmental applications has taken four years to complete.

Year	Reported profits €	R&D capitalised €
1	75 000	15 000
2	95 000	22 000
3	110 000	31 000
4	135 000	25 000
5	153 000	–

In Year 5, sales of the new product are very disappointing, with only 100 units sold in comparison to the target 2000 units for the first full year of availability of the completed product.

Investigations reveal that competitors have brought out a product with comparable performance for 20% of the price. Hi-tech cannot respond and enters a price war since its direct manufacturing costs exceed the competitor's selling price.

Multiple Choice Questions (Continued)

7.10 How much were Hi-tech's Year 2 profits improved by adherence to the R&D capitalization policy?

A. €15,000.

B. €22,000.

C. €37,000.

D. €117,000.

Multiple Choice Questions (Continued)

7.11 With the advent of the competitor's new product and the poor sales performance, how much will Year 5 profits be reduced by an enforced change in accounting policy on R&D expenditure?

- A. Nil.
- B. €37,000.
- C. €78,000.
- D. €93,000.

Multiple Choice Questions (Continued)

7.12 If Hi-tech had altered its accounting policy in Year 3, what would have been its revised profits in Year 3?

- A. €42,000.
- B. €57,000.
- C. €79,000.
- D. €110,000.

Multiple Choice Questions (Continued)

7.13 Which of the following stages of a website development is likely to be eligible for capitalization as an intangible asset?

- A. Content development.
- B. Operating stage.
- C. Planning.
- D. Graphical design development.

Multiple Choice Questions (Continued)

7.14 If a revaluation of intangible assets results in a reduction in their carrying value, where is the decrease in value adjusted in the Accounts (assuming that there is a revaluation reserve)?

- A. Written off against only retained profits.
- B. Written off first against the revaluation reserve and then against current year profits.
- C. Written off only against current year profits.
- D. Written off only against goodwill.

Multiple Choice Questions (Continued)

7.15 In considering the structure of share options, which of the following 'days' will (likely) be the last stage in the process?

- A. The vesting day.
- B. The day of grant.
- C. The exercise day.
- D. The closure day.

Multiple Choice Questions (Continued)

7.16 IFRS2 has introduced changes in the way in which the cost of share options is treated. Which one of the following best describes the recommended treatment?

- A. Write-off in the year of exercise (of the options) against current year profits.
- B. Write-off in the year of exercise (of the options) against retained profits.
- C. Make provision in the year of granting, irrespective of any difference between market price and exercise price.
- D. Make provision in any year, where market price exceeds the exercise.

Multiple Choice Questions (Continued)

7.17 On 1 January 20x0, Bytewise plc issues share options of 10,000 shares to each of its 20 key account managers. The grant of these options is conditional on them remaining in the company's employment for the next four years (to 31 December 20x3). The fair value of a share at date of grant was €15. The board believes that normal staff turnover will mean that 20% of these account managers will leave within the four years, thereby giving up their rights to the shares.

What is the cost of share options charged to profit and loss account in 20x0?

- A. €600,000
- B. €750,000
- C. €2,400,000
- D. €3,000,000

$$\text{In 20x0, } 200\,000 \text{ options} \times 80\% \times €15 \times \frac{1}{4} = \underline{€600\,000}$$

Multiple Choice Questions (Continued)

7.18 Which of the following is not a component of the annual pension cost that should be charged to profit and loss account?

- A. Expected return on any plan assets.
- B. Past service cost.
- C. Fees to independent pensions advisers.
- D. Current service cost.

Multiple Choice Questions (Continued)

7.19 Which of the following is not an approved approach to compute the defined benefits pension obligation under IAS19?

- A. Vested benefit obligation.
- B. Projected benefit obligation.
- C. Accumulated benefit obligation.
- D. Final salary obligation.

Multiple Choice Questions (Continued)

7.20 Which of the following variables would have a positive effect on a company's obligations to a defined benefits pension scheme?

- A. Lower than expected growth in equity markets.
- B. Lower than expected growth in salaries.
- C. Increase in expected survival rates of employees.
- D. Increase in actuary's choice of discount rate.

Multiple Choice Questions (Continued)

7.21 Which of the following is not considered to be a category of financial instrument by IAS 39?

- A. Assets held for trading.
- B. Held-to-maturity investments.
- C. Assets available for sale.
- D. Debtors.

Multiple Choice Questions (Continued)

7.22 A contingent liability must be provided for in a company's profit and loss account and balance sheet. True or false?

False

Multiple Choice Questions (Continued)

7.23 Beezer Plant Limited has a statutory Health and Safety obligation to carry out a full maintenance check on all of its operating plant. This involves a visit by external experts which costs €20,000. Failure to carry out this check will result in a fixed HSE penalty of €12,000. If the company fails to carry out the maintenance check during 20x0, what level of provisions should it make in its financial statements for that year?

- A. Nil.
- B. €12,000
- C. €20,000
- D. €32,000

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Case Study 7.1

The Directors of Findhorn Distilleries plc have some decisions to take before their annual profits are announced. In discussions with their external auditors, several sensitive areas have been identified where judgments are required which will influence the level of reported profits.

1. During the year, Findhorn engaged a consultancy firm to assess a valuation of its world-famous brand names, including the Wild Heather and Flying Hawk exclusive malt whisky products. The consultants placed a value of €2.5m on the company's brands with an indefinite lifetime.
2. Findhorn has also been investing in substantial expenditure on the research and development of an entirely new range of whisky products with an estimated ten year lifetime. The development is complete, but the products have not yet been launched on to the market. Already written off in this year's profit and loss account is €3.0m in respect of this development.
3. At the end of the financial year, Findhorn acquired the whole of the ordinary share capital of Nairn Bottling Co. Limited for €3.8m in cash.

Case Study 7.1 (Continued)

At the date of acquisition, Nairn's summary balance comprised:

	€m
Fixed assets	1.5
Net current assets	1.3
	2.8
Share capital	1.0
Reserves	1.8
	2.8

Nairn is expected to play an important role in Findhorn's bottling activities for at least ten years.

Case Study 7.1 (Continued)

4. Findhorn acts as distributor in the UK for Montego Bay Rum Co. and at the balance sheet date, held €2m in inventory of bottles of rum. At present, this inventory is excluded from Findhorn's balance sheet, since it does not have to pay for it until it is sold.

Findhorn's balance sheet (summary form, prior to 1–4 above)

	€m
Fixed assets	18.0
Net current assets	6.5
	<u>24.5</u>
Share capital (20m shares)	10.0
Reserves	14.5
	<u>24.5</u>

Findhorn's preliminary profits for the year are €6.5m, which includes the write-off of €3m in R&D expenditure.

Case Study 7.1 (Continued)

Required

As Chief Executive, you have been entrusted by the Board with the task of maximizing the value of the company and its earnings per share. With these objectives in mind, how would you approach each of the sensitive areas? Detail the adjustments, if any, to preliminary profits and prepare the resulting balance sheet.

Case Study 7.1 (Solution)

Adjustments to preliminary profit

	€m
Preliminary profits	6.5
1 Brand valuations – no P&L effect	–
2 Capitalise R&D expenditure	3.0
3 Capitalise goodwill on acquisition of €1m write-off over ten years	–
4 Consignment inventory – no P&L effect	–
Revised profits	<u>9.5</u>

Case Study 7.1 (Solution)

Findhorn Group Balance Sheet

	€m	Note
Fixed assets	19.5	(1)
Deferred R&D	3.0	(2)
Goodwill on acquisition	1.0	(3)
Brands	2.5	(4)
	<u>26.0</u>	
Net current assets	4.0	(5)
	<u>30.0</u>	
Share capital	10.0	
Reserves – Distributable	17.5	(6)
Reserves – Revaluation	2.5	(4)
	<u>30.0</u>	
Original earnings per share = $\frac{€6.5\text{m}}{20\text{m}} = 32.5 \text{ cents}$		
Revised earnings per share = $\frac{€9.5\text{m}}{20\text{m}} = 47.5 \text{ cents}$		

Case Study 7.1 (Solution)

Notes

1. Findhorn €18m + Nairn €1.5m = €19.5m
2. Deferred R&D €3.0m: all capitalised, benefits to accrue over the next ten years: therefore, write off at €0.3m per annum next year, after the product launch.
- 3.

	€
Purchase price	3.8m
Net assets acquired	2.8m
Goodwill	<u>1.0m</u>

Capitalise goodwill and write off over ten years, starting next year, because Nairn was not acquired till last day of this financial year

4. Brands of €2.5m included as assets and as revaluation reserve.

Case Study 7.1 (Solution)

Notes (Continued)

5. Net current assets require adjustment to mirror acquisition of Nairn for €3.8m cash.

	€m
Findhorn	6.5
Nairn	1.3
	7.8
Less: Acquisition for cash	(3.8)
	4.0

6. Distributable reserves comprises:

	€m
Findhorn/original	14.5
Increase in profit/R&D	3.0
	17.5